

FEDERAL MARITIME COMMISSION

Docket Nos. 16-01, 16-07, 16-10 and 16-11

IN RE VEHICLE CARRIER SERVICES

**RESPONDENTS' BRIEF IN SUPPORT OF
THEIR CONSOLIDATED MOTION TO DISMISS**

Roberto A. Rivera-Soto
Jason A. Leckerman
BALLARD SPAHR LLP
210 Lake Drive East – Suite 200
Cherry Hill, New Jersey 08002-1163
Telephone: (856) 761-3400
riverasotor@ballardspahr.com
leckermanj@ballardspahr.com

Jeffrey F. Lawrence
Wayne Rohde
COZEN O'CONNOR PC
1200 Nineteenth Street, NW
Washington, D.C. 20036
Telephone: 202-912-4800
jlawrence@cozen.com
wrohde@cozen.com

Benjamin F. Holt
HOGAN LOVELLS US LLP
555 Thirteenth St., N.W.
Washington, D.C. 20004
Telephone: (202) 637-5600
benjamin.holt@hoganlovells.com

Melissa H. Maxman
COHEN & GRESSER LLP
2001 Pennsylvania Ave., N.W., Suite 300
Washington, DC 20006
Telephone: 202-851-2071
mmaxman@cohengresser.com

*Counsel for Respondents Wallenius
Wilhelmsen Logistics AS, Wallenius
Wilhelmsen Logistics America LLC, and
EUKOR Car Carriers, Inc.*

*Counsel for Respondents Höegh Autoliners
Holdings AS, Höegh Autoliners AS, Höegh
Autoliners, Inc., Autotrans AS, and Alliance
Navigation LLC*

John R. Fornaciari
Danyll W. Foix
BAKER & HOSTETLER LLP
1050 Connecticut Ave., NW
Suite 1100
Washington, D.C. 20036
Telephone: 202-861-1612
jfornaciari@bakerlaw.com

Mark W. Nelson
Jeremy J. Calsyn
James Hunsberger
**CLEARY GOTTlieb STEEN &
HAMILTON LLP**
2000 Pennsylvania Avenue, NW
Washington, D.C. 20006
Telephone: 202-974-1500

dfoix@bakerlaw.com

*Counsel for Respondents Nippon Yusen
Kabushiki Kaisha and NYK Line North
America Inc.*

James L. Cooper

Anne P. Davis

Adam M. Pergament

ARNOLD & PORTER KAYE SCHOLER LLP

601 Massachusetts Avenue, N.W.

Washington, D.C. 20001

Telephone: (202) 942-5000

james.cooper@apks.com

anne.davis@apks.com

adam.pergament@apks.com

Robert B. Yoshitomi

Eric C. Jeffrey

NIXON PEABODY LLP

799 9th Street, N.W.

Washington, DC 20001

Telephone: (202) 585-8000

Ryoshitomi@nixonpeabody.com

Ejeffrey@nixonpeabody.com

*Counsel for Respondents Mitsui O.S.K. Lines,
Ltd., Mitsui O.S.K. Bulk Shipping (U.S.A.),
LLC, World Logistics Service (U.S.A.) Inc.,
and Nissan Motor Car Carrier Co., Ltd.*

mnelson@cgsh.com

jcalsyn@cgsh.com

jhunsberger@cgsh.com

*Counsel for Respondents Kawasaki Kisen
Kaisha, Ltd. and "K" Line America, Inc.*

Steven F. Cherry

Brian C. Smith

WILMER, CUTLER, PICKERING,

HALE & DORR LLP

1875 Pennsylvania Avenue, NW

Washington, D.C. 20006

Telephone: (202) 663-6000

Steven.Cherry@wilmerhale.com

Brian.Smith@wilmerhale.com

*Counsel for Respondents Compañía Sud
Americana de Vapores, S.A. and CSAV
Agency, LLC*

TABLE OF CONTENTS

	<u>Page</u>
TABLE OF AUTHORITIES	iii
I. PRELIMINARY STATEMENT	1
II. STATEMENT OF FACTUAL AND PROCEDURAL HISTORY	1
III. ARGUMENT.....	5
A. THE SHIPPING ACT’S THREE-YEAR STATUTE OF LIMITATIONS BARS THE COMPLAINTS FOR REPARATIONS	6
1. Complainants’ Shipping Act claims accrued no later than September 6, 2012, making the Complaints for reparations untimely	6
2. Complainants cannot meet their burden of demonstrating that, even with the exercise of reasonable diligence, they could not have known of their Shipping Act claims within the limitations period.....	11
3. Complainants knew or should have known they had potential claims no later than September 6, 2012, when media reports alerted the public to the “dawn raids” of Respondents’ offices and global antitrust investigations	12
4. Reasonable complainants would have engaged in further inquiry related to the widely reported antitrust investigations	16
B. COMPLAINANTS CANNOT MAINTAIN A CLASS ACTION BEFORE THE COMMISSION	21
1. The Commission lacks the statutory authority to hear class actions	22
2. Class actions are not permitted under the Commission’s rules, and the Commission has not enacted regulations necessary to hear class actions	24
3. A class action based on Commission Rule 12 is not sound administrative practice.....	30
C. COMPLAINANTS LACK STANDING TO SEEK REPARATIONS	33
1. Only “direct purchasers” have standing to seek reparations under the Shipping Act	33

2.	Complainants are indirect purchasers and lack standing	39
D.	THE COMPLAINTS FAIL TO STATE COGNIZABLE SHIPPING ACT CLAIMS	42
1.	The § 41102(c) claims should be dismissed for lack of subject matter jurisdiction.....	42
2.	The Complaints must be dismissed for failing to state cognizable violations of the Shipping Act	45
(a)	The Complaints do not adequately allege a § 41102(c) violation for failing to establish and enforce just and reasonable practices	46
(b)	Complainants fail to state a cognizable cause of action under the provisions of § 41102(b) concerning operating under an unfiled agreement	47
(c)	Complainants fail to state a cognizable cause of action under the § 40302 agreement filing provisions	48
(d)	Complainants' conclusory allegations of violations of the filing regulations also fail to state a cognizable cause of action	49
(e)	The Complaints fail to allege any facts showing a disclosure of information in violation of § 41103(a)	50
(f)	The claim that Respondents unreasonably refused to deal in violation of §§ 41104(10) and 41105(1) is implausible and contrary to law	52
(g)	The Complaints do not state facts that plausibly support an agreement to allocate in violation of § 41105(6).....	54
E.	WHETHER PROPER SERVICE HAS BEEN EFFECTED SHOULD BE DEFERRED	57
IV.	CONCLUSION	58
V.	CERTIFICATE OF SERVICE	61

TABLE OF AUTHORITIES.

<u>CASES</u>	<u>Page(s)</u>
<i>Alexander v. Sandoval</i> , 532 U.S. 275 (2001).....	49, 50
<i>Am. President Lines, Ltd. v. Cyprus Mines Corp.</i> , 26 S.R.R. 1227 (FMC 1994).....	5 n.6
<i>ANERA and Its Members – Opting Out of Service Contracts</i> , 28 S.R.R. 1215 (FMC 1999).....	44
<i>Ashcroft v. Iqbal</i> , 556 U.S. 662 (2009).....	45, 45-46, 47, 48
<i>Bell Atl. Corp. v. Twombly</i> , 550 U.S. 544 (2007).....	45, 47, 48, 52, 54, 55, 55 n.47, 56 n.48
<i>Bethlehem Steel Corp. v. Ind. Port Comm’n</i> , 21 FMC 629 (Jan. 7, 1979), <i>aff’d sub. nom.</i> , <i>Bethlehem Steel Corp. v. FMC</i> , 642 F.2d 1215 (D.C. Cir. 1980).....	44, 44 n.37
<i>Blue Cross of Cal. v. SmithKline Beecham Clinical Lab., Inc.</i> , 108 F. Supp.2d 116 (D. Conn. 2000).....	16
<i>Boudreau v. United States</i> , 53 F.3d 81 (5th Cir. 1995)	43
<i>Brumbaugh v. Princeton Partners</i> , 985 F.2d 157 (4th Cir. 1993)	13
<i>Cargo One Inc. v. COSCO Container Lines Co., Ltd.</i> , 28 S.R.R. 1635 (FMC 2000).....	43
<i>Cathedral of Joy Baptist Church v. Vill. of Hazel Crest</i> , 22 F.3d 713 (7th Cir. 1994)	11
<i>Catrone v. Thoroughbred Racing Ass’ns of N. Am., Inc.</i> , 929 F.2d 881 (1st Cir. 1991).....	17
<i>Chrysler Corp. v. Brown</i> , 441 U.S. 281 (1979).....	29

<i>Connors v. Hallmark & Son Coal Co.</i> , 935 F.2d 336 (D.C. Cir. 1991).....	11
<i>Cornell v. Princess Cruise Lines, Ltd.</i> , 33 S.R.R. 614 (FMC 2014).....	45
<i>Crocus Inv., LLC v. Marine Trans. Logistics, Inc.</i> , 34 S.R.R. 327 (ALJ June 17, 2006).....	45
<i>Dayco Corp. v. Goodyear Tire & Rubber Co.</i> , 523 F.2d 389 (6th Cir. 1975)	13 n.12
<i>Definition of “Package,”</i> 23 S.R.R. 111 (FMC 1985).....	43
<i>DNB Exports LLC, v. Barsan Global Lojistiks Ve Gumruk Musavirligi A.S.</i> , 33 S.R.R. 670 (FMC 2014).....	51, 51 n.42, 51-52, 52
<i>DSW Int’l, Inc. v. Commonwealth Shipping, Inc.</i> , 31 S.R.R. 1850 (ALJ Mar. 29, 2011).....	53-54
<i>Global Link Logistics, Inc. v. Hapag-Lloyd, A.G.</i> , 33 S.R.R. 512 (ALJ 2014)	47, 52, 53
<i>GO Computer, Inc. v. Microsoft Corp.</i> , 508 F.3d 170 (4th Cir. 2007)	17, 18
<i>Gov’t of Guam v. Am. President Lines</i> , 809 F. Supp. 150 (D.D.C. 1993), <i>aff’d</i> , 28 F.3d 142 (D.C. Cir. 1994).....	27, 30, 30 n.24
<i>Gov’t of Guam v. Sea-Land</i> , 25 S.R.R. 842 (ALJ 1990)	23, 26, 35-36
<i>Gov’t of Guam v. Sea-Land Serv., Inc.</i> , 29 S.R.R. 894 (ALJ, Admin. Final 2002).....	33, 35-36
<i>Guam v. PFEL</i> , 7 S.R.R. 167 (ALJ 1966)	23, 26
<i>Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.</i> , 29 S.R.R. 306 (FMC 2001).....	11
<i>In re Elevator Antitrust Litig.</i> , 502 F.3d 47 (2nd Cir. 2007)	55, 55 n.47

<i>In re Packaged Seafood Prods. Antitrust Litig.</i> , No. 15–MD–2670, 2017 WL 1010329, 2017 U.S. Dist. LEXIS 37804 (S.D. Cal. Mar. 14, 2017)	16
<i>In re Travel Agent Comm’n Antitrust Litig.</i> , 583 F.3d 896 (6th Cir. 2009)	55 n.46, 55 n.47
<i>Int’l Ass’n of NVOCC’s v. Atl. Container Line</i> , 25 S.R.R. 734 (FMC 1990).....	22
<i>Ill. Brick Co. v. Illinois</i> , 431 U.S. 720 (1977).....	36, 36-37, 38-39. 39 n.30
<i>Isaak v. Trumbull Sav. & Loan Co.</i> , 169 F.3d 390 (6th Cir. 1999)	18
<i>Jensen v. Snellings</i> , 841 F.2d 600 (5th Cir. 1988)	13, 17
<i>Kobel v. Hapag-Lloyd A.G.</i> , 32 S.R.R. 1720 (FMC 2013).....	40-41, 46
<i>La. Pub. Serv. Comm’n v. FCC</i> , 476 U.S. 355 (1986).....	22
<i>Louis Dreyfus Corp. v. Plaquemines Port, Harbor & Terminal Dist.</i> , 25 F.M.C. 59 (July 30, 1982).....	44
<i>Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.</i> , 32 S.R.R. 1185 (FMC 2013).....	6, 11, 17
<i>Mar-Mol Co. v. Sea-Land Serv., Inc.</i> , 27 S.R.R. 1085 (FMC 1997).....	23-24, 24 n. 21, 26, 27
<i>McCullough v. Zimmer</i> , 382 F. App’x 225 (3d Cir. 2010)	54
<i>McIntyre v. United States</i> , 367 F.3d 38 (1st Cir. 2004).....	12, 13, 17
<i>Menon v. Water Splash, Inc.</i> , 472 S.W.3d 28 (Tex. App 2015), review denied, 2016 Tex. LEXIS 423 (Tex. Sup. Ct.), cert. granted sub nom <i>Water Splash, Inc. v. Menon</i> , 137 S. Ct. 547 (2016)	57-58

<i>Military Sealift Command v. Sea-Lift Serv., Inc.,</i> 27 S.R.R. 874 (FMC 1996).....	56
<i>Muzorori v. Canada State Africa Lines, Inc.,</i> FMC Docket No. 1949(F), 2016 WL 3922397 (FMC July 14, 2016).....	44 n.37
<i>Oakland Motor Car Co. v. Great Lakes Transit Corp.,</i> 1 U.S.S.B. 308 (1934).....	35
<i>Oryszak v. Sullivan,</i> 576 F. 3d 522 (D.C. Cir. 2009).....	49
<i>Phillips Petroleum Co. v. Shutts,</i> 472 U.S. 797 (1985).....	22
<i>Procter & Gamble Mfg. Co. v Lykes Bros. SS. Co.,</i> 25 S.R.R. 1370 (Settle. Off. 1991)	36 n.28
<i>Puerto Rico Maritime Shipping Auth. v. FMC,</i> 75 F.3d 63 (1st Cir. 1996).....	27
<i>Puerto Rico Ports Auth. v. FMC,</i> 919 F.2d 799 (1st Cir. 1990).....	44-45
<i>Rakes v. United States,</i> 442 F.3d 7 (1st Cir. 2006).....	12, 13, 16
<i>River Parishes Co. v. Ormet Primary Alum. Corp.,</i> 28 S.R.R. 751 (FMC 1999).....	42, 55 n.47
<i>Sanrio, Inc. v. Maersk Line,</i> 19 S.R.R. 907 (ALJ Admin. Final 1979).....	35
<i>Santa Fe Discount Cruise Parking, Inc. v. Bd. of Trustees of the Galveston Wharves,</i> 33 S.R.R. 1283 (ALJ 2014)	47, 53
<i>Sikhs for Justice v. Nath,</i> 893 F. Supp. 2d 598 (S.D.N.Y. 2012)	48
<i>Smart Garments, v. Worldlink Logix Servs., Inc.,</i> 33 S.R.R. 65 (FMC 2013).....	50-51
<i>Smith v. Swormstedt,</i> 57 U.S. 288 (1853).....	22

<i>S. Pac. Co v. Darnell-Taenzer Lumber Co.,</i> 245 U.S. 531 (1918).....	34-35
<i>Stauffer Chem. Europe S.A. v. NYK Line,</i> 27 S.R.R. 417 (FMC 1995).....	36 n.28
<i>The Lake Charles Harbor and Terminal Dist. v. W. Cameron Port,</i> <i>Harbor and Terminal Dist.,</i> FMC Docket No. 06-02, 2007 WL 2468431 (FMC Aug. 2, 2007)	42 n.35
<i>Tradecheck, LLC v. Sea-Land Serv., Inc.,</i> 27 S.R.R. 334 (Settle. Off. 1995)	36 n.28
<i>United Klans of Am. v. McGovern,</i> 621 F.2d 152 (5th Cir. 1980)	18
<i>U.S. Navigation Co. v. Cunard S.S. Co.,</i> 284 U.S. 474 (1932).....	34 n.27
<i>Whirlpool Fin. Corp. v. GN Holdings, Inc.,</i> 67 F.3d 605 (7th Cir. 1995)	12-13, 15-16, 17
<i>Wood v. Carpenter,</i> 101 U.S. 135 (1879).....	13 n.12
<i>Zenith Radio Corp. v. Hazeltine Research Inc.,</i> 401 U.S. 321 (1971).....	6

STATUTES AND RULES

5 U.S.C. § 553.....	30
7 U.S.C. § 18(a)(2)(A)	24
15 U.S.C. § 15(a)	36-37
15 U.S.C. § 2064(f)(1)	24
46 U.S.C. § 40102(18)	41
46 U.S.C. § 40302(a)	48-49
46 U.S.C. § 41102(b)	43, 47

46 U.S.C. § 41102(c)	46
46 U.S.C. § 41103(a)	50, 52
46 U.S.C. § 41104(10)	52
46 U.S.C. § 41105(1)	52
46 U.S.C. § 41105(6)	54
46 U.S.C. § 41107(a)	50, 56
46 U.S.C. § 41301(a)	6, 11, 33, 36, 43, 47, 51
46 U.S.C. § 41303(a)(2)	25
46 U.S.C. § 41305(b)	6, 11, 23, 33
46 U.S.C. § 41305(e)	25, 26
<i>Fed. R. Civ. P.</i> 12(b)(1)	42, 42 n.35
<i>Fed. R. Civ. P.</i> 12(b)(9)	42, 42 n.35
<i>Fed. R. Civ. P.</i> 23(h)	25
16 C.F.R. § 1025.18	28
24 C.F.R. § 180.105(b)	29 n.23
29 C.F.R. § 18.10	29 n.223
29 C.F.R. § 1614.204	28
46 C.F.R. § 502.12	24, 30
46 C.F.R. § 502.41	26
46 C.F.R. § 502.62(a)(3)(i)	26
46 C.F.R. § 502.62(a)(4)(i)	26
46 C.F.R. § 502.62(a)(4)(iii)	6
46 C.F.R. § 502.79	30

46 C.F.R. § 502.113(b)	57
46 C.F.R. § 502.226	41 n.34
46 C.F.R. § 502.251	38 n.29
46 C.F.R. § 502.252	38 n.29
46 C.F.R. § 502.254(a)	26
46 C.F.R. § 515.2(q)	41
46 C.F.R. § 515.42(a)	41 n.33
46 C.F.R. § 535.401, <i>et seq.</i>	49
46 C.F.R. § 535.901	49, 50

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Chris Cooper and Kiyotaka Matsuda, <i>Nippon Yusen, Wilhelmsen Raided by Antitrust Regulator</i> , Bloomberg Business (Sept. 6, 2012), available at https://web.archive.org/web/20151130084605/http://bloomberg.com/news/articles/2012-09-06/nippon-yusen-tumbles-on-fair-trade-commission-raid-tokyo-mover	14 n.14, 18 n.18, 19 n.19
Commission Press Release, <i>Two Car Carriers Pay \$2.3 Million in Penalties</i> (Dec. 23, 2013), available at http://www.fmc.gov/NR13-19/?CategoryId=1&F_All=y&Archive=y	8 n.9
Convention of 15 November 1965 on the Service Abroad of Judicial and Extrajudicial Documents in Civil or Commercial Matters (“Hague Convention”)	57-58
<i>EU and US Join Japan in Antitrust Raid of Leading Car Carrier Operators</i> , GCAPTAIN (Sept. 7, 2012) (quoting DOJ spokeswoman Gina Talamona), available at http://gcaptain.com/car-carrier-operators-raided-japan/	14 n.17, 18 n.18
<i>EU Inspectors Probing Possible Sea Freight Cartels</i> , Agence France Presse (Sept. 7, 2012) (quoting September 7, 2012 European Commission press release, available at http://europa.eu/rapid/press-release_MEMO-12-655_en.htm)	14 n.15

<i>Federal Sector Equal Employment Opportunity,</i> 64 Fed. Reg. 37644 (July 12, 1999).....	32 n.25
<i>Federal Sector Equal Employment Opportunity,</i> 77 Fed. Reg. 43498 (July 25, 2012).....	32 n.25
Gavin van Marle, <i>EU Confirms Car Carrier Shipping Lines Raided in Cartel Probe,</i> THE LOADSTAR (Sept. 10, 2012), available at http://theloadstar.co.uk/ec- confirms-car-carrier-shipping-lines-raided-in-cartel-probe/	19 n.19
Hisane Masaki and Bruce Barnard, <i>Antitrust Watchdog Raids Major Japanese Shipping Firms</i> , JOURNAL OF COMMERCE (Sept. 6, 2012), available at http://www.joc.com/maritime-news/container-lines/antitrust-watchdog-raids -major-japanese-shipping-firms_20120906.html	14 n.16
<i>Japanese regulator raids offices of shipping lines</i> , PARR (Sept. 6, 2012), available at https://app.parr-global.com/intelligence/view/103219	18 n.18
Philip Blenkinsop, et al., <i>EU raids car shipping service firms suspected of cartel,</i> REUTERS (Sept. 7, 2012), available at http://www.reuters.com/article/us-eu-raids- maritime-idUSBRE8861AS20120907	13 n.13

I. PRELIMINARY STATEMENT.

Respondents, by and through their respective undersigned counsel, respectfully move for the entry of an order dismissing the complaints filed in Docket Nos. 16-01 (the “Freight Forwarders Complaint”), 16-07 (the “End-Payers Complaint”), 16-10 (the “Truck Centers Complaint”), and 16-11 (the “Auto Dealers Complaint”) (the Freight Forwarders, the End-Payers, the Truck Centers and the Auto Dealers are referred to collectively as “Complainants”).¹ Respondents respectfully submit that a review of the relevant facts and applicable law leads to the conclusion that the complaints should be dismissed as a matter of law.

II. STATEMENT OF FACTUAL AND PROCEDURAL HISTORY.²

“Vehicle Carriers,” such as Respondents, transport cars, trucks, and other vehicles in international maritime commerce using specialized ships known as Roll On/Roll Off (“RoRo”) vessels. End-Payers Compl. ¶ 2; Auto Dealers Compl. ¶ 2; *see also* Truck Centers Compl. ¶ 3 (similar); Freight Forwarders Compl. ¶¶ 20-21 (similar). “Vehicle Carrier Services” involve the paid ocean transportation of cars, trucks, and other vehicles on RoRo vessels. End-Payers Compl. ¶ 2; Auto Dealers Compl. ¶ 2; Truck Centers Compl. ¶ 2; *see also* Freight Forwarders Compl. ¶¶ 2, 20-21 (similar). Vehicle Carriers sell Vehicle Carrier Services to original equipment manufacturers (“OEMs”), such as large automotive, construction, and agricultural vehicle manufacturers. End-Payers Compl. ¶ 82; Auto Dealers Compl. ¶ 47.

¹ The Freight Forwarders claim that they are direct purchasers of Vehicle Carrier Services; the remaining Complainants -- the End-Payers, the Truck Centers, and the Auto Dealers -- claim that they are indirect purchasers of Vehicle Carrier Services. To the extent there is a substantive difference between direct and indirect purchasers, it is highlighted below. Also, for ease of reference, the various complaints will be referred to by the category of complainant.

² For purposes of this motion only, the facts are as described in the Complaints; Respondents make no concessions or admissions in respect of those facts.

Since at least early September 2012, antitrust and competition authorities in the United States and other countries have been investigating an alleged “global cartel” among Vehicle Carriers to engage in “unlawful, anticompetitive conduct” in the Vehicle Carrier Services industry (End-Payers Compl. ¶ 6; Auto Dealers Compl. ¶ 6; Truck Centers Compl. ¶ 4; Freight Forwarders Compl. ¶ 65), including allegedly “conspiring to suppress and eliminate competition by allocating customers and routes, rigging bids, and fixing prices for Vehicle Carrier Services to and from the United States and elsewhere” (Freight Forwarders Compl. ¶ 3). On September 6, 2012, the U.S. Department of Justice (“DOJ”), the European Commission (“EC”), and the Japan Fair Trade Commission (“JFTC”) conducted unannounced inspections/searches -- known as “dawn raids” -- at the offices of several Vehicle Carriers, including most of Respondents, related to the alleged conspiracy. End-Payers Compl. ¶¶ 6, 159; Auto Dealers Compl. ¶¶ 6, 123; Truck Centers Compl. ¶¶ 4, 136. The “dawn raids” and global antitrust investigations were widely reported in a variety of outlets, *see infra*, and certain Respondents publicly acknowledged the investigations.³

On May 24, 2013, and August 30, 2013, respectively, the first purported indirect purchaser and direct purchaser complaints related to the alleged conspiracy in the Vehicle Carrier Services industry were filed in federal court. Freight Forwarders Compl. ¶ 81. These and related complaints were coordinated for all pretrial proceedings by the Judicial Panel on Multidistrict Litigation (“JPML”) before the District of New Jersey under the caption *In re Vehicle Carrier Services Antitrust Litigation*, Master Docket No. 13-3306 (ES), MDL No. 2471

³ For example, on September 7, 2012, WWL confirmed that “it had received requests for information from United States, Japan, European, and Canada competition authorities” and issued a press release explaining that the investigation related to “whether there is evidence of any infringement of competition law related to possible price cooperation between carriers and allocation of customers.” End-Payers Compl. ¶ 159; Auto Dealers Compl. ¶ 123; Truck Centers Compl. ¶ 137.

(“MDL Case”). Freight Forwarders Compl. ¶ 82. By an opinion and order dated August 28, 2015, the U.S. District Court for the District of New Jersey dismissed the putative class action complaints brought by the direct purchaser plaintiffs (asserting federal antitrust claims) and all three groups of indirect purchaser plaintiffs (asserting federal and state antitrust claims) in the MDL Case. Freight Forwarders Compl. ¶ 84.

On September 2, 2015 -- less than three years following the publicity blitz occasioned by the “dawn raids” and also after the dismissal with prejudice of the federal court actions -- General Motors LLC (“GM”), an original equipment manufacturer (“OEM”), filed a timely and public complaint before the Commission seeking reparations from NYK, WWL and EUKOR. *See* FMC Docket No. 15-08.⁴

The Freight Forwarders, the End-Payers, the Truck Centers, and the Auto Dealers, on the other hand, filed substantially later:⁵

COMPLAINANTS	DATE REPARATIONS COMPLAINT FILED	TIME SINCE LIMITATIONS PERIOD STARTED
Freight Forwarders	Dec. 29, 2015	3 yrs., 3 mos., 23 days
End-Payers	Mar. 18, 2016	3 yrs., 6 mos., 12 days
Truck Centers	Apr. 21, 2016	3 yrs., 7 mos., 15 days
Auto Dealers	Apr. 22, 2016	3 yrs., 7 mos., 16 days

Each group of Complainants styled their complaint as a “class action.” Freight Forwarders Compl. ¶ 1; End-Payers Compl. ¶ 1; Truck Centers Compl. ¶ 1; Auto Dealers Compl. ¶ 1.

The Freight Forwarders allege that they represent “companies that arrange for the international ocean transportation of vehicles[,]” and that they directly purchased Vehicle Carrier

⁴ That action has been concluded in full.

⁵ As more fully set forth below, the statute of limitations started to run no later than September 6, 2012.

Services from Respondents. Freight Forwarders Compl. ¶¶ 25, 8-10. They also assert that they “have been harmed by being forced to pay inflated, supra-competitive prices for Vehicle Carrier Services.” *Id.* at ¶ 122.

The End-Payors allege that they “purchased or leased a new motor vehicle subject to Vehicle Carrier Service charges by one or more Respondents.” End-Payors Compl. ¶¶ 16-54. They assert that they “paid supracompetitive prices for Vehicle Carrier Services” because “OEMs and automobile dealers passed on the inflated charges” to the End-Payors. *Id.* at ¶¶ 186, 189.

The Truck Centers allege that they “buy[] and then sell[] Vehicles that were shipped via RoRo by one or more of the Respondents or their co-conspirators” and assert that they “indirectly paid Respondents for Vehicle Carrier Services.” Truck Centers Compl. ¶¶ 15-26, 27. They claim that they “paid supra-competitive prices for Vehicle Carrier Services” because “[t]he inflated prices of Vehicle Carrier Services resulting from Respondents’ conspiracies were passed on to [the Truck Centers] . . . by OEMs.” *Id.* at ¶¶ 165, 168.

Finally, the Auto Dealers allege that they “purchased vehicles which were carried by Respondents” and assert that they “indirectly paid Respondents for Vehicle Carrier Services.” Auto Dealers Compl. ¶ 19. They claim that they “paid supra-competitive prices for Vehicle Carrier Services” because “the inflated prices of Vehicle Carrier Services in motor vehicles resulting from Respondents’ price-fixing conspiracy have been passed on” to the Auto Dealers. *Id.* at ¶¶ 151, 154.

The Secretary of the Commission served each of the four complaints on each of Respondents by express mail service. No other form of service of process was attempted.

By an order dated March 16, 2017, the Presiding Officer ordered that “Respondents file their consolidated motions to dismiss by April 26, 2017, Complainants file their opposition briefs by May 24, 2017, and Respondents file their reply briefs by June 8, 2017.”

This consolidated motion to dismiss followed.

II. ARGUMENT.

Respondents respectfully submit that the complaints are legally deficient in at least five separate respects; these are:

- The Shipping Act’s statute of limitations bars the complaints for reparations;
- Complainants cannot maintain a class action before the Commission;
- Complainants lack standing to seek reparations;
- The complaints fail to state cognizable Shipping Act claims; and,
- Service of process on the non-U.S. Respondents was improper; however, the determination of whether proper service has been effected on the foreign respondents should be deferred until the Supreme Court of the United States decides *Water Splash, Inc. v. Menon* (argued March 22, 2017).⁶

Each legal deficiency is addressed separately.

⁶ The March 16, 2017 order also identified “[w]hether the filed rate doctrine or similar principles bar the Complainants’ claims for reparations” as an appropriate issue on a motion to dismiss. *Id.* at 3. That said, Respondents respectfully submit that consideration of the filed rate doctrine’s bar on reparations claims should be deferred. No doubt, the filed rate doctrine remains a valid defense to Shipping Act claims. *See, e.g., Am. President Lines, Ltd. v. Cyprus Mines Corp.*, 26 S.R.R. 1227 (FMC 1994) (affirming filed rate doctrine was not eliminated by 1984 Act). But, because Complainants’ allegations omit all factual information about the rates allegedly paid, a fulsome consideration of the filed rate doctrine, in a motion to dismiss setting, is precluded. Respondents reserve the right to assert the filed rate doctrine or similar principles when ripe.

**A. THE SHIPPING ACT'S THREE-YEAR STATUTE OF LIMITATIONS
BARS THE COMPLAINTS FOR REPARATIONS.**

After years of unexplained delay, Complainants now attempt to resurrect their stale Shipping Act claims. The reality is that Complainants were well aware of the need to bring their Shipping Act claims to the Commission long before the statute of limitations had run. But, for what only can be called strategic reasons, Complainants chose not to do so until it was too late. Their Shipping Act claims are time-barred.

**1. Complainants' Shipping Act claims accrued no later than
September 6, 2012, making the Complaints for reparations untimely.**

Under the Shipping Act, a complaint seeking "reparations" must be filed "within 3 years after the claim accrues." 46 U.S.C. §§ 41301(a), 41305(b); *see also* 46 C.F.R. § 502.62(a)(4)(iii). Despite that clear injunction, Complainants waited well past three years after accrual to file their reparations complaints with the Commission, despite repeatedly being warned well before the expiration of the limitations period -- both by Respondents and by the U.S. District Court -- that they had not filed their claims in the correct forum.

As a general rule, Complainants' claims accrued for Shipping Act purposes when they paid the allegedly excess charges. *See Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 32 S.R.R. 1185, 1191 (FMC 2013) ("Absent an exception, a claim accrues (and the statute of limitations begins to run) 'when a defendant commits an act that injures a plaintiff's business.'" (citing *Zenith Radio Corp. v. Hazeltine Research Inc.*, 401 U.S. 321, 338 (1971))). Assuming solely for the purposes of this motion that Complainants reasonably were unaware of their claims when they claim to have paid the allegedly excess charges, they may be entitled to the benefit of the "discovery" rule exception, which extends the date when the three-year statute of limitations period begins until the time when Complainants were or reasonably should have been aware of

their claims, and their claims accrued no later than September 6, 2012: when leading news agencies worldwide reported on global antitrust investigations into alleged price fixing and other cartel conduct by Respondents and when antitrust authorities in the United States and elsewhere raided Respondents' offices to gather evidence of an alleged conspiracy.⁷ That means that Complainants' Shipping Act claims are time-barred. Complainants took no steps to bring their Shipping Act claims before the Commission, instead choosing to file only federal antitrust and state competition complaints in federal court,⁸ which later were consolidated into the Multidistrict Litigation in the District of New Jersey.

There can be no doubt: Complainants were, or should have been, aware of their claims by September 6, 2012. As noted below, another complainant -- GM -- filed its timely complaint on September 2, 2015 because that was within the closing window of the statute of limitations.

Moreover, Complainants repeatedly were warned that their claims properly were under the Shipping Act and that they needed to file those claims before the Commission. On

⁷ See *infra* (discussing articles reporting on alleged cartel conduct by Respondents).

⁸ The first purported "indirect purchaser" actions were filed on May 24, 2013 in the District of New Jersey and Middle District of Florida. See *F. Ruggiero & Sons Inc., et al. v. NYK Line (North America) Inc., et al.*, No. 13-cv-03306-ES-JAD, ECF No. 1 (D.N.J. May 24, 2013); *Nelson, et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, No. 13-cv-00604-HLA-MCR, ECF No. 1 (M.D. Fla. May 24, 2013). Some twenty-four additional "indirect purchaser" complaints followed, including several filed by named Complainants in these proceedings. See, e.g., *MacQuarrie, et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, No. 13-cv-02409-JST, ECF No. 1-1 (N.D. Cal. May 28, 2013); *Rush Truck Centers of Ariz., Inc., et al. v. Nippon Yusen Kabushiki Kaisha, et al.*, No. 14-cv-04469-ES-JAD, ECF No. 1 (D.N.J. July 16, 2014).

The first purported "direct purchaser" action was filed in the Southern District of New York on July 26, 2013. See *Manaco Int'l Forwarders, Inc. v. Nippon Yusen Kabushiki Kaisha, et al.*, 1:13-cv-05243-PKC (S.D.N.Y. July 26, 2013). Two additional "direct purchaser" actions followed in August and October 2013, both filed by named Complainants in these proceedings. See *Int'l Transp. Mgm't Corp. v. Kawasaki Kisen Kaisha, Ltd., et al.*, 1:13-cv-06134-PAC, ECF No. 1 (S.D.N.Y. Aug. 30, 2013); *Cargo Agents, Inc. v. Nippon Yusen Kabushiki Kaisha, et al.*, 1:13-cv-07216-PKC, ECF No. 1 (S.D.N.Y. Oct. 11, 2013).

December 23, 2013, two of the Respondents reached “compromise agreements” with the Commission in respect of the claims that their conduct violated the Shipping Act,⁹ but Complainants did not act. One month later, on January 24, 2014, Respondents informed both the U.S. District Court for the District of New Jersey and Complainants that Respondents intended to move to dismiss the claims asserted in the Multidistrict Litigation “because the Federal Maritime Commission has exclusive jurisdiction [over the claims] under the Shipping Act.” *See* Joint Status Letter, ECF No. 62 at 12 (Jan. 24, 2014). Again, despite this clear warning -- that any claims were required to be brought under the Shipping Act and before the Commission -- Complainants did nothing.

In October 2014, Respondents served their motions to dismiss the consolidated class action complaints filed by Complainants in U.S. District Court; these prominently asserted that any claims by Complainants must be brought before the Commission under the Shipping Act. After briefing and argument, on August 28, 2015, the U.S. District Court dismissed with prejudice all of Complainants’ complaints, pointedly noting that Shipping Act complainants “may seek reparations for injury if the complaint is filed within three years of the date of accrual.” Ra0386; Ra0392 (“[T]he putative class members can seek relief before the FMC.”). That decision was rendered before the Shipping Act’s statute of limitations expired on September 8, 2015.¹⁰ In the aggregate, then, Complainants were well aware of the need to bring their claims to the Commission long before the statute of limitations expired, yet they chose not to do so.

⁹ *See* Commission Press Release, *Two Car Carriers Pay \$2.3 Million in Penalties* (Dec. 23, 2013), *available at* http://www.fmc.gov/NR13-19/?CategoryId=1&F_All=y&Archive=y.

¹⁰ Technically, the statute of limitations expired on September 5, 2015. However, because that was the Saturday of Labor Day weekend, the next business day was Tuesday, September 8, 2015.

One stark exception exists. GM. GM too had filed a federal antitrust claim that was made part of the Multidistrict Litigation. *See Gen. Motors LLC v. Nippon Yusen Kabushiki Kaisha, et al.*, Case No. 1:15-cv-03451 (June 15, 2015 E.D.N.Y.). Acknowledging that the Shipping Act's statute of limitations was about to expire, and acting with reasonable diligence, on September 2, 2015, GM filed its complaint for reparations with the Commission. *See Compl., Gen. Motors LLC v. Nippon Yusen Kabushiki Kaisha, et al.*, FMC Docket No. 15-08 (Sept. 2, 2015). GM specifically identified the September 6, 2012 "dawn raids" as the point in time when, as a Shipping Act complainant, it was on notice of potential Shipping Act claims against Respondents. *Id.* at ¶ RRRR ("GM was not aware of the unlawful conduct alleged in this Complaint at any point in time before the investigations by the antitrust regulators became public on September 6, 2012."), ¶¶ LLLL, SSSS, UUUU (similar). In a September 21, 2015 filing before the Commission, GM explained that it "filed its complaint before this Commission as a protective action -- to preserve all applicable statute of limitations and other deadlines, including those under the Shipping Act of 1984[.]" *See* Joint mot. to stay, FMC Docket No. 15-08 (Sept. 21, 2015), ¶ 3.¹¹ Just like GM, Complainants long had known, or in the exercise of reasonable diligence should have known, that their Shipping Act claims belonged before the Commission and that the Shipping Act's statute of limitations was about to expire. Complainants tarried instead.

Because of their expressed preference to litigate their claims in federal court under federal antitrust and state competition law, Complainants intentionally elected to sit on their potential Shipping Act claims for well over three years, despite expressly being warned that

¹¹ Similarly, in a November 12, 2015 filing before the Commission, GM explained that, "[o]n September 2, 2015, GM filed its protective complaint before the FMC because of upcoming statute of limitations deadlines." *See* Joint supp. mem. re: joint mot. to stay, FMC Docket No. 15-08 (Nov. 12, 2015) at 3.

their claims had to be brought before the Commission. Complainants admit in their federal court complaints that they were on notice of their claims as of September 6, 2012:

- The Freight Forwarders admit that they knew that the “dawn raids” were carried out “[i]n early September 2012,” Consol. amended class action compl., *In re Vehicle Carrier Servs. Antitrust Litig. (relating to all direct purchaser actions)*, Master Docket No. 13-cv-3306 (D.N.J. June 2, 2014), Ra0022-0023 ¶ 68. But, the Freight Forwarders did not file their Shipping Act complaint until December 29, 2015, more than three years and three months after the statute of limitations started to run;
- The End-Payors admit that they knew that “[c]ompetition authorities in the United States, the European Union, Canada and Japan have been investigating a global cartel among Vehicle Carriers since at least September 2012[.]” Consol. amended class action compl., *In re Vehicle Carrier Servs. Antitrust Litig. (relating to all end-payor actions)*, Master Docket No. 13-cv-3306 (D.N.J. June 2, 2014), Ra0044-0045 ¶ 6; *see also id.*, Ra0082-0083 ¶ 155. But, the End-Payors did not file their Shipping Act complaint until March 18, 2016, more than three years and six months after the statute of limitations started to run;
- The Truck Centers admit that they knew that “[c]ompetition authorities in the United States, the European Union, Canada, and Japan have been investigating a possible global cartel among Vehicle Carriers since at least September 2012[.]” Consol. amended class action compl., *In re Vehicle Carrier Servs. Antitrust Litig. (relating to all truck center actions)*, Master Docket No. 13-cv-3306 (D.N.J. June 2, 2014), Ra0148 ¶ 4; *see also id.*, Ra0180 ¶¶ 141-42. But, the Truck Centers did not file their Shipping Act complaint until April 21, 2016, more than three years and seven months after the statute of limitations started to run; and,
- The Auto Dealers admit that they knew that “[c]ompetition authorities in the United States, the European Union, Canada, and Japan have been investigating a global cartel among Vehicle Carriers since at least September 2012[.]” Consol. amended class action compl., *In re Vehicle Carrier Servs. Antitrust Litig. (relating to all auto dealer actions)*, Master Docket No. 13-cv-3306 (D.N.J. June 2, 2014), Ra0240 ¶ 6; *see also id.*, Ra0288 ¶ 146. But, the Auto Dealers did not file their Shipping Act complaint until April 22, 2016, more than three years and seven months after the statute of limitations started to run.

Each of the Complaints is time-barred under the Shipping Act’s three-year statute of limitations, and must be dismissed.

2. Complainants cannot meet their burden of demonstrating that, even with the exercise of reasonable diligence, they could not have known of their Shipping Act claims within the limitations period.

It bears repeating: a private reparations action under the Shipping Act must be filed “within 3 years after the claim accrues.” 46 U.S.C. §§ 41301(a), 41305(b). And, a Shipping Act claim accrues either when the complainant paid the allegedly excess charges, *Maier Terminals*, 32 S.R.R. at 1191, or, under the discovery rule exception adopted by the Commission, when the complainant knows or should have known that it had a claim against the respondent. See *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 306 (FMC 2001) (adopting discovery rule); *Maier Terminals, LLC*, 32 S.R.R. at 1191 (holding that “statute of limitations period will not begin to run until “a party knew or with reasonable diligence should have known that it had a claim”” (quoting *Inlet Fish*, 29 S.R.R. at 314)). *Inlet Fish* explains that “implementing the rule that a cause of action accrues when a party knew or should have known that it had a claim is consistent with the statutory construction used by numerous courts of appeals.” *Inlet Fish*, 29 S.R.R. at 314; see also *ibid.* (noting that discovery rule “has been adopted by ‘[a]t least eight federal courts of appeals’” (quoting *Connors v. Hallmark & Son Coal Co.*, 935 F.2d 336, 342 (D.C. Cir. 1991))). The Commission has emphasized that “the discovery rule is an exception to the time-bar provision” and the complainant “has the burden of showing that it falls within the exception by demonstrating that, even with the exercise of reasonable diligence, it could not have known of the purported injury” inflicted by the respondent within the limitations period. *Maier Terminals*, 32 S.R.R. at 1193 (citing *Cathedral of Joy Baptist Church v. Vill. of Hazel Crest*, 22 F.3d 713, 717 (7th Cir. 1994) (internal quotation marks omitted)).

Complainants cannot meet their burden: they knew or should have known they had potential Shipping Act claims against Respondents no later than September 6, 2012, when

widespread news reports alerted the public to the “dawn raids” of Respondents’ offices and global antitrust investigations regarding alleged price fixing and other alleged cartel conduct, a fact they emphasize in their Complaints. Ironically, GM -- an OEM that timely filed its reparations complaint -- also noted the September 6, 2012 “dawn raids” as the date when it was alerted of potential Shipping Act claims against Respondents. *See* GM Compl. ¶¶ LLLL, RRRR, SSSS, UUUU. With reasonable diligence, Complainants -- no differently than GM -- would have discovered their purported injuries and potential Shipping Act claims no later than September 6, 2012, thus requiring that, in order to be timely, they had to file their complaints within three years of that date.

3. Complainants knew or should have known they had potential claims no later than September 6, 2012, when media reports alerted the public to the “dawn raids” of Respondents’ offices and global antitrust investigations.

When analyzing “the objective component” of the discovery rule, courts seek to determine “what information a plaintiff ‘should have known.’” *Rakes v. United States*, 442 F.3d 7, 20 (1st Cir. 2006). This is a two-step process. First, courts establish constructive knowledge “by asking what generally available information about the relevant facts the plaintiffs should be charged with knowing[.]” *Ibid.* Second, courts “then ask whether a plaintiff who knew at least that much would have made a further investigation, and what such an investigation would likely have revealed” and add it to the knowledge charged to the plaintiff. *Ibid.*; *McIntyre v. United States*, 367 F.3d 38, 52 (1st Cir. 2004) (“Once a duty to inquire is established, the plaintiff is charged with the knowledge of what he or she would have uncovered through a reasonably diligent investigation.”); *accord Whirlpool Fin. Corp. v. GN Holdings, Inc.*, 67 F.3d 605, 609

(7th Cir. 1995); *Brumbaugh v. Princeton Partners*, 985 F.2d 157, 162 (4th Cir. 1993); *Jensen v. Snellings*, 841 F.2d 600, 607 (5th Cir. 1988).¹²

Complainants had actual or constructive knowledge -- that is, they knew or should have known -- of the highly publicized September 6, 2012 “dawn raids” of Respondents’ offices and the investigations by antitrust authorities around the world. “Where events receive widespread publicity, plaintiffs may be charged with knowledge of their occurrence.” *McIntyre*, 367 F.3d at 60 (internal quotation marks and alterations omitted); *see also Rakes*, 442 F.3d at 22 (holding that, based on “important and widely circulated articles,” plaintiffs “should have had at least some notion that strong accusations of wrongdoing . . . had been made”).

At the time of the September 6, 2012 “dawn raids,” Reuters and other leading news organizations publicly reported that, in “coordinat[ion] with Japanese and U.S. antitrust authorities,” the “European Commission . . . conducted unannounced inspections of several maritime shipping companies . . . suspected of operating a cartel” related to “maritime transport services for cars and construction and agricultural machinery.”¹³ Reuters reported that the “U.S. Justice Department . . . was looking at potentially illegal pricing practices in the ocean shipping of cars, trucks, construction equipment, and other products.” *Ibid.* Similarly, Bloomberg reported that Respondents were raided by antitrust regulators regarding “a possible breach of an

¹² See also *Dayco Corp. v. Goodyear Tire & Rubber Co.*, 523 F.2d 389, 394 (6th Cir. 1975) (“The Court said that an injured party has a positive duty to use diligence in discovering his cause of action within the limitations period. Any fact that should excite his suspicion is the same as actual knowledge of his entire claim. Indeed, ‘the means of knowledge are the same thing in effect as knowledge itself.’” (quoting *Wood v. Carpenter*, 101 U.S. 135, 139 (1879))).

¹³ See Philip Blenkinsop, et al., *EU raids car shipping service firms suspected of cartel*, REUTERS (Sept. 7, 2012), available at <http://www.reuters.com/article/us-eu-raids-maritime-idUSBRE8861AS20120907>.

anti-monopoly act that involves price fixing.”¹⁴ The Agence France Presse -- the third-largest news agency in the world after the Associated Press and Reuters -- reported that the European Commission “made ‘unannounced inspections at the premises of several providers of maritime transport services for cars and construction and agricultural rolling machinery.’”¹⁵ The Journal of Commerce also reported that the “Japan Fair Trade Commission raided the nation’s top three shipping companies -- NYK Line, MOL and “K” Line . . . for allegedly violating the antitrust law in transporting automobiles and other exports.”¹⁶ On September 7, 2012, a DOJ spokeswoman confirmed in a statement to the media that the Antitrust Division was “investigating the possibility of anticompetitive practices involving the ocean shipping of cars, trucks, construction equipment and other products.”¹⁷

In light of the widespread media coverage, Complainants’ conclusory allegation that, prior to May 2013 they “had no means from which they could have discovered the combination and conspiracy” alleged in their complaints is implausible and cannot be credited at the pleading stage. *See* End-Payors Compl. ¶¶ 196-97; Truck Centers Compl. ¶¶ 171-72; Auto Dealers Compl. ¶¶ 161-62; *see also* Freight Forwarders Compl. ¶ 95 (alleging that Complainants “could not have discovered the alleged . . . conspiracy . . . at an earlier date by the exercise of

¹⁴ Chris Cooper and Kiyotaka Matsuda, *Nippon Yusen, Wilhelmsen Raided by Antitrust Regulator*, Bloomberg Business (Sept. 6, 2012), *available at* <https://web.archive.org/web/20151130084605/http://www.bloomberg.com/news/articles/2012-09-06/nippon-yusen-tumbles-on-fair-trade-commission-raid-tokyo-mover>.

¹⁵ *EU Inspectors Probing Possible Sea Freight Cartels*, Agence France Presse (Sept. 7, 2012) (quoting September 7, 2012 European Commission press release, *available at* http://europa.eu/rapid/press-release_MEMO-12-655_en.htm).

¹⁶ Hisane Masaki and Bruce Barnard, *Antitrust Watchdog Raids Major Japanese Shipping Firms*, JOURNAL OF COMMERCE (Sept. 6, 2012), *available at* http://www.joc.com/maritime-news/container-lines/antitrust-watchdog-raids-major-japanese-shipping-firms_20120906.html.

¹⁷ *EU and US Join Japan in Antitrust Raid of Leading Car Carrier Operators*, GCAPTAIN (Sept. 7, 2012) (quoting DOJ spokeswoman Gina Talamona), *available at* <http://gcaptain.com/car-carrier-operators-raided-japan/>.

reasonable diligence” but offering no accrual date for the statute of limitations). Yet, Complainants’ own allegations repeatedly, identically, and prominently describe that “[o]n September 6, 2012, EC officials carried out unannounced inspections at the premises of several vehicle carriers in several European Union member countries in coordination with the United States and Japanese competition authorities” and that the “EC had reason to believe that the companies may have” engaged in prohibited “cartel[]” activity or other “restrictive business practices.” *See* Freight Forwarders Compl. ¶ 65 (describing “a global, coordinated antitrust investigation concerning the unlawful conspiracy alleged in this Complaint” by the U.S., Canadian, Japanese, and EU competition authorities); End-Payors Compl. ¶ 159; Truck Centers Compl. ¶ 136; Auto Dealer Compl. ¶ 123. Complainants also describe a contemporary, September 7, 2012 press release by one of the Respondents stating that “it has received requests for information from the United States, Japan, European, and Canada competition authorities” related to “whether there is evidence of any infringement of competition law related to possible price cooperation between carriers and allocation of customers.” *See* End-Payors Compl. ¶ 159; Truck Centers Compl. ¶ 137; Auto Dealers Compl. ¶ 123.

All of the Complainants in this case -- whether purported “direct” or “indirect” purchasers -- properly are charged with constructive knowledge of the highly publicized “dawn raids” of Respondents’ offices and widely reported antitrust investigations. The Freight Forwarders -- the purported “direct purchasers” -- claim they “directly purchased Vehicle Carrier Services from one or more Respondents” (Freight Forwarders Compl. ¶¶ 8-9) and thus are intimately involved in the Vehicle Carrier Services market; they clearly should have been apprised of the antitrust investigations that received widespread attention in the industry. *See Whirlpool Fin. Corp.*, 67 F.3d at 610 (concluding that, “with the advent of the ‘information

superhighway,” and “easily access[ible] information” on “industry trends” available “in the public domain,” investors, closely involved in the securities market, were “imputed with constructive knowledge”); *see also Blue Cross of Cal. v. SmithKline Beecham Clinical Lab., Inc.*, 108 F. Supp.2d 116, 124 (D. Conn. 2000) (holding that “highly publicized, industry-wide information” was sufficient to put health care insurers on inquiry notice of defendant’s potentially fraudulent billing practices).

The conclusion one must reach from the widespread nature of the media coverage regarding the antitrust investigations is fatal to all four Complaints: Complainants -- the Freight Forwarders that allege they are direct purchasers, and the End-Payers, Truck Centers and Auto Dealers that allege they are indirect purchasers -- fare no differently, as each was on notice by the many September 2012 media reports of the investigations into alleged price fixing and other cartel conduct by the Respondents. *See In re Packaged Seafood Prods. Antitrust Litig.*, No. 15–MD–2670, 2017 WL 1010329, at *38–39, 2017 U.S. Dist. LEXIS 37804, at *173–77 (S.D. Cal. Mar. 14, 2017) (concluding that indirect purchaser plaintiffs could have discovered alleged conspiracy “when the DOJ investigation came to light”).

4. Reasonable complainants would have engaged in further inquiry related to the widely reported antitrust investigations.

In addition to actual or constructive knowledge of the widespread media reports after the “dawn raids” on September 6, 2012, Complainants also are on inquiry notice for any further knowledge that would have been discovered through a reasonably diligent investigation. *Rakes*, 442 F.3d at 20 (holding that courts “ask whether a plaintiff who [constructively] knew at least that much would have made a further investigation, and what such an investigation would likely have revealed”); *id.* at 23 (holding that, given suspicion of wrongdoing, “it was incumbent on [plaintiffs] to search out relevant information” regarding wrongdoing “or risk losing their

claims”); *Whirlpool Fin. Corp.*, 67 F.3d at 609-10 (concluding that “[i]nquiry notice starts the running of the statute of limitations when the victim of the alleged fraud became aware of facts that would have led a reasonable person to investigate whether he might have a claim” and “imput[ing plaintiff] with constructive knowledge” of “information available in the public domain.” (internal quotation marks and citations omitted)). Once on notice, Complainants must demonstrate at least some attempt to discover the facts to support their potential claims. *See Jensen*, 841 F.2d at 607 (holding that reasonable diligence “imposes an affirmative duty upon the potential plaintiff” to seek out the facts of his potential claims). A plaintiff “is not permitted a ‘leisurely discovery of the full details of the alleged scheme.’” *Jensen*, 841 F.2d at 607; *see also McIntyre*, 367 F.3d at 52 (“A claim does not accrue when a person has a mere hunch, hint, suspicion, or rumor of a claim, but such suspicions do give rise to a duty to inquire into the possible existence of a claim in the exercise of due diligence.”).

The widespread publicity of the dawn raids of September 6, 2012, triggered Complainants’ duty to investigate their claims with reasonable diligence. Contrary to Complainants’ suggestion, *see, e.g.*, Freight Forwarders Compl. ¶ 101, inquiry notice does not require that complainants know all of the facts necessary to advance their potential claims because inquiry notice does not “await the dawn of complete awareness.” *GO Computer, Inc. v. Microsoft Corp.*, 508 F.3d 170, 178 (4th Cir. 2007); *see also Catrone v. Thoroughbred Racing Ass’ns of N. Am., Inc.*, 929 F.2d 881, 886 (1st Cir. 1991) (“The notice required is not notice of every fact which must eventually be proved in support of the claim.” (internal quotation marks and citation omitted)). *See also Maher Terminals*, 32 S.R.R. at 1193 (holding that claim accrual occurs when complainant knew, or should have known, it had cause of action, as opposed to prima facie case).

Complainants were “plainly on inquiry notice” as a result of the “multiplicity and specificity” of information available to them about Respondents’ alleged wrongdoing. *See GO Computer, Inc.*, 508 F.3d at 179; *see also Isaak v. Trumbull Sav. & Loan Co.*, 169 F.3d 390, 400 (6th Cir. 1999) (concluding that inquiry notice exists where “Plaintiffs had abundant access to information concerning fraudulent activity . . . including widespread newspaper reports of the state investigation into illegal sales practices”). Here, as described above, there were numerous widely-circulated articles with global readerships sufficient to trigger inquiry by reasonably diligent persons. *See, e.g., United Klans of Am. v. McGovern*, 621 F.2d 152, 154 (5th Cir. 1980) (concluding plaintiff was on “inquiry” where DOJ press release and national news coverage over networks, wire, and newspapers reported that defendant held press conference admitting facts supporting claim). These were not vague reports about unspecified entities or undisclosed topics; they were detailed and specific, identifying Respondents by name and highlighting that the government investigations concerned alleged price fixing and other cartel conduct by Respondents.¹⁸ Sources also reported that the JFTC had raided Respondents’ offices in connection with potential antitrust violations and that the DOJ, EC, and other authorities were involved.¹⁹

¹⁸ *See, e.g., EU and US Join Japan in Antitrust Raid of Leading Car Carrier Operators*, GCAPTAIN (Sept. 7, 2012), *available at* <http://gcaptain.com/car-carrier-operators-raided-japan/> (naming NYK, WWL, MOL, K-Line and EUKOR in connection with “the possibility of anticompetitive practices involving the ocean shipping of cars, trucks, construction equipment and other products”); *Japanese regulator raids offices of shipping lines*, PARR (Sept. 6, 2012), *available at* <https://app.parr-global.com/intelligence/view/103219> (“Japanese antitrust regulators raided the offices of five shipping lines, including [WWL] and [“K” Line].”). Bloomberg indicated that, based on suspected antitrust violations, the JFTC had raided the foreign offices of several Respondents, and cited statements from each company confirming the raids. *See* Chris Cooper and Kiyotaka Matsuda, *Nippon Yusen, Wilhelmsen Raided by Antitrust Regulator*, BLOOMBERG BUSINESS (Sept. 6, 2012).

¹⁹ *See, e.g.,* Chris Cooper and Kiyotaka Matsuda, *Nippon Yusen, Wilhelmsen Raided by Antitrust Regulator*, BLOOMBERG BUSINESS (Sept. 6, 2012); Gavin van Marle, *EU Confirms Car*

And, as a factual matter, these news reports did invite further investigation by a reasonably diligent complainant. No Complainant can overcome the plain fact that, GM, a putative direct purchaser class member, specifically identified the September 6, 2012 “dawn raids” as the point in time when it, as a Shipping Act complainant, was on notice of potential Shipping Act claims against Respondents. *See* GM Compl. ¶ RRRR (“GM was not aware of the unlawful conduct alleged in this Complaint at any point in time before the investigations by the antitrust regulators became public on September 6, 2012.”); *id.* ¶¶ LLLL, SSSS, UUUU (similar). No less is to be expected from Complainants.

Based on the widely-available facts from the news reports, a reasonable person in Complainants’ circumstances -- like GM -- would have been on notice of potential Shipping Act claims against Respondents and would have been obliged to investigate further for a straightforward reason: both the antitrust investigations and the Shipping Act claims in this case are based on the same underlying conduct, that is, alleged unfiled agreements to fix prices and engage in other anticompetitive conduct. *See, e.g.,* Freight Forwarders Compl. ¶¶ 2-3 (alleging certain Respondents pled guilty to Sherman Act violations “for conspiring to suppress and eliminate competition by allocating customers and routes, rigging bids, and fixing prices for Vehicle Carrier Services” pursuant to agreements “that were not filed with the [Commission]”). Complainants were squarely on notice of their potential Shipping Act claims by the news of

Carrier Shipping Lines Raided in Cartel Probe, THE LOADSTAR (Sept. 10, 2012), available at <http://theloadstar.co.uk/ec-confirms-car-carrier-shipping-lines-raided-in-cartel-probe/> (“Commission officials carried out unannounced inspections at the premises of several providers of maritime transport services for cars Inspections took place in several Member States in coordination with the US and Japanese Competition Authorities.”); Ben James, *Shippers Eyed By US, Europe, Japan Amid Cartel Concerns*, LAW360 (Sept. 7, 2012), available at <http://www.law360.com/articles/376449/shippers-eyed-by-us-europe-japan-amid-cartel-concerns> (“Shipping company [WWL] said Friday that two companies it partially owned were under scrutiny from competition authorities from Japan, the U.S. and Europe.”).

antitrust investigations into Respondents' alleged conduct. Even a rudimentary investigation following the widely-reported "dawn raids" and investigations in early September 2012 would have provided Complainants sufficient facts to support their potential Shipping Act claims. Complainants' behavior begs the question: Complainants either (a) made no attempt to discover relevant facts to support their Shipping Act claims; or (b) they did discover the relevant facts but made the strategic decision not to pursue their Shipping Act claims in favor of pursuing their claims in federal court. Either way, Complainants must live with the consequences of that choice: their claims are time-barred.

Complainants do assert, albeit with no factual support, that they "could not have discovered the alleged contract, conspiracy, or combination at an earlier date by the exercise of reasonable diligence." Freight Forwarders Compl. ¶ 95; End-Payors Compl. ¶ 205 ("Complainants and members of the Class had no knowledge . . . of any facts or information that would have caused a reasonably diligent person to investigate whether a conspiracy existed, until May 2013."); Truck Centers Compl. ¶ 182; Auto Dealers Compl. ¶ 169. But, in light of the widespread reporting of the "dawn raids" and investigations, Complainants' vague assertions are implausible, and cannot be credited at the pleading stage. Complainants had all of the facts needed to bring their claims before the Commission long before the limitations period expired; they certainly had them when, well before the Shipping Act's statute of limitations expired, they filed their respective federal antitrust and state competition complaints in federal court. For seemingly strategic reasons, Complainants chose not to use those facts to bring Shipping Act claims and even ignored Respondents' -- and the U.S. District Court's -- admonitions that the claims were in the wrong forum. Complainants made the intentional choice to focus on what

they perceived as more attractive federal antitrust/state competition claims in federal court, which allowed the limitations period on any potential Shipping Act claims to expire.

The proper application of well-established statute of limitations principles bars Complainants' claims before the Commission. That result, however unfortunate to Complainants, is not relevant. They faced a choice, and they chose wrong: they made the strategic decision to pursue federal antitrust and state competition claims in federal court rather than focus on any potential Shipping Act claims before the Commission. They must live with the consequences brought about by their own strategic decisions or their lack of diligence. It is not within the Commission's purview to rescue Complainants from their own unforced errors.

Because Complainants' claims accrued no later than September 6, 2012 -- when widespread news reports put them on notice of their potential Shipping Act claims -- Complainants' claims are time-barred; each Complaint must be dismissed with prejudice.

B. COMPLAINANTS CANNOT MAINTAIN A CLASS ACTION BEFORE THE COMMISSION.

Complainants have styled their Complaints as class actions, but the Commission never has entertained such claims for a straightforward reason: no authority permits it to do so. At least three reasons interdict a class action before the Commission: (1) the Shipping Act does not authorize that the Commission hear class actions or bind absent parties; (2) the Commission's rules do not provide for class actions, and the Commission has not enacted the regulations necessary to hear class actions; and (3) it would not be consistent with sound administrative practice to use a gap-filler in the Commission's rules to import wholesale the procedural and substantive class action rules applicable in federal courts. Put simply, Complainants would have the Commission hear a class claim for the first time -- even in the

absence of any statutory authority or relevant regulations -- which is something no other federal agency or commission has done. The class claims must be dismissed.

1. The Commission lacks the statutory authority to hear class actions.

Administrative agencies that possess adjudicatory authority do not hear class actions as federal courts do. Unlike administrative agencies, federal courts have the inherent power to bind absent parties through class claims, which derives from their traditional powers as courts of equity. *See, e.g., Phillips Petroleum Co. v. Shutts*, 472 U.S. 797, 808 (1985) (“[T]he class action was an invention of equity to enable it to proceed to a decree in suits where the number of those interested in the litigation was too great to permit joinder. The absent parties would be bound by the decree[.]”); *Smith v. Swormstedt*, 57 U.S. 288, 303 (1853) (explaining that “a court of equity permits a portion of the parties in interest to represent the entire body, and the decree binds all of them the same as if all were before the court”).

In contrast, administrative agencies are creatures of statutes, and have no such inherent powers. If they are to preside over a class action and bind members of the class who are not parties to the case,²⁰ they may only do so pursuant to authority from Congress. *See, e.g., La. Pub. Serv. Comm’n v. FCC*, 476 U.S. 355, 374 (1986) (“[A]n agency literally has no power to act . . . unless and until Congress confers power upon it.”). Congress has not empowered the Commission with the general powers of a court of equity. *Int’l Ass’n of NVOCC’s v. Atl. Container Line*, 25 S.R.R. 734, 743 (FMC 1990) (“The Commission is not a court, and cannot rely on the powers of a court of equity.” (internal quotation marks and ellipses omitted)). Nor has Congress granted the Commission the power to bind absent class members. Rather, the

²⁰ The ability to bind absent parties is critical. If the judgment in a class action (including a judgment approving a class settlement) does not bind absent class members, then defendants/respondents could face liability multiple times over for the same conduct. That result eviscerates the efficiency and finality rationales that justify class actions in the first place.

Shipping Act gives the Commission the power to “direct the payment of reparations to the complainant for actual injury caused by a violation.” 46 U.S.C. § 41305(b) (emphasis supplied). The plain language of the Shipping Act allows for reparations actions for named complainants; it never mentions “class claims” or actions on behalf of others “similarly situated,” it never alludes to suits by “representatives,” and it does not contain any other language indicating that Congress intended to bestow on the Commission the power to hear class actions or to bind non-parties.

The Commission has recognized repeatedly and consistently that § 41305(b)’s language prohibits the Commission from hearing claims on behalf of non-parties or parties seeking to represent other claimants. For example, in *Guam v. PFEL*, 7 S.R.R. 167, 168 (ALJ 1966), the complainant tried “to sue for reparation on behalf of others[.]” That attempt was rejected because the Commission lacked statutory authority to hear such a claim. *Ibid.* (“The award of reparations under Section 22 is limited to parties having legal claims for damages, *i.e.*, shippers, consignees, persons paying the freight charges or holders of valid assignments. Guam has such standing only as to its own shipments.”). Twenty-three years later, in 1989, Guam again tried to sue on behalf of others as *parens patriae*, *Gov’t of Guam v. Sea-Land*, 25 S.R.R. 842, 842 (ALJ 1990). It met the same fate: Guam’s claim was dismissed because such representative actions are not permitted by the Shipping Act. The Administrative Law Judge stated the view succinctly: “Insofar as the Complaint seeks reparation to Guam for shipments made by other shippers, it is hereby dismissed.” *Ibid.*

Similarly, in *Mar-Mol Co. v. Sea-Land Service, Inc.*, 27 S.R.R. 1085, 1090 (FMC 1997), the complainants sought relief for “all similarly situated shippers.” The Commission rejected that claim, explaining that its statutory authority extends no further than “direct[ing] the payment . . . of full reparation to the complainant.” *Id.* at 1089 (emphasis in original). The

Commission reiterated: “[t]he Act authorizes an award of reparations only to complainants, not to non-parties.” *Ibid.* The lesson of these authorities is clear: the Commission consistently and uniformly has declined to construe the Shipping Act beyond its plain language.²¹

When it intends to do so, Congress well knows how to give agencies the express power to hear class actions. For example, Congress granted the Commodity Futures Trading Commission (“CFTC”) the power to hear cases brought on behalf of “other persons similarly situated[,]” but only if the agency first promulgates a rule to govern such actions. 7 *U.S.C.* § 18(a)(2)(A). Similarly, the Consumer Product Safety Commission (“CPSC”) has statutory authority to preside over hearings in which “a class of participants who share an identity of interest” participate “through a single representative.” 15 *U.S.C.* § 2064(f)(1). In contrast, the Shipping Act makes plain that complainants must be specifically named.

2. Class actions are not permitted under the Commission’s rules, and the Commission has not enacted regulations necessary to hear class actions.

The Presiding Officer already has recognized that “[t]he Commission does not have a Rule of Practice and Procedure authorizing class actions, which would bind non-parties.” Order, Docket No. 16-01 at 2 (FMC Feb. 3, 2016). That absence tempts the invocation of the Commission’s gap-filler rule -- Commission Rule 12 -- which provides that “for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 *C.F.R.* § 502.12. The temptation to invoke that gap-filler should be resisted.

Principally, Commission Rule 12 cannot be used to import a class action procedure because, as the Commission lacks the powers of a court of equity, it likewise lacks the

²¹ In *Mar-Mol*, the Commission also offered *dicta* regarding whether it can hear a class action. As discussed *infra*, this *dicta* is neither binding nor persuasive.

inherent power to bind absent class members. The authority to bind absent class members must come from Congress and Congress alone; because Commission Rule 12 originates with the Commission, it cannot bestow the power to bind absent parties. The Commission's lack of general equitable powers ends the analysis.

In addition, Commission Rule 12 must be understood consistent with longstanding Commission practice, which employs the rule to clarify discovery processes and fill procedural gaps. This practice is consistent with the Shipping Act, which does not mention class actions and does not grant the Commission the power to expand its authority by borrowing from the Federal Rules; the Shipping Act mentions the Federal Rules only in the narrow context of discovery and subpoenas. *See* 46 U.S.C. § 41303(a)(2) (“[A] party may use depositions, written interrogatories, and discovery procedures under regulations prescribed by the Commission that, to the extent practicable, shall conform to the Federal Rules of Civil Procedure.”). The fact that Congress specifically enumerated this narrow, discovery-focused role for the Federal Rules in respect of Commission matters further demonstrates that Congress did not envision the wholesale importation of the Federal Rules into Commission proceedings or that, more specifically, the Commission could expand its jurisdiction by importing Federal Rule 23 to oversee class actions.

Commission Rule 12 also cannot encompass Federal Rule 23 because components of Federal Rule 23 conflict with other statutes and Commission rules. As the Presiding Officer noted, Federal Rule 23(h) conflicts with the Howard Coble Coast Guard and Maritime Transportation Act of 2014, 46 U.S.C. § 41305(e). *See* Order, Docket Nos. 16-01; 16-07; 16-10; 16-11, at 1 (FMC Jan. 31, 2017). Specifically, Federal Rule 23(h), *Fed. R. Civ. P.* 23(h), provides for “reasonable attorney’s fees and nontaxable costs” in certified class actions, while

both the statute applicable to this proceeding, as well as Commission Rule 254, permit the Commission to “award attorney fees, but not costs, to the prevailing party.” *Ibid.*; *see also* 46 U.S.C. § 41305(e); 46 C.F.R. § 502.254(a).

In addition, Commission Rule 41 defines “parties” for purposes of Shipping Act claims, and designates only named complainants, named respondents, and intervenors as parties; it does not include “representative” parties. 46 C.F.R. § 502.41. It further provides that only “[a] party who files a complaint under § 502.62 shall be designated as ‘complainant.’” *Ibid.* The entire purpose of Federal Rule 23, in contrast, is to allow representative parties.

As another example, Commission Rule 62 requires that complainants plead “the amount of alleged damages” and specify “[t]he name, street address, and email address of each complainant.” 46 C.F.R. § 502.62(a)(4)(i), 62(a)(3)(i). Federal Rule 23 does not require that the plaintiff identify individual class members or specify the amount of alleged damages in the complaint or even at the time of certification.

Stating that Federal Rule 23 can be used by the Commission simply because it is part of the Federal Rules overall is far too facile to be persuasive. For example, it is nonsense to argue that Complainants have a right to a jury trial before this Commission simply because Federal Rules 38, 47, 48 and 49 govern jury trials in the federal courts.

Although several cases have discussed whether the Commission may hear class actions, including the applicability of Rule 12, no case has decided the issue squarely. On the other hand, several cases have held that the Commission may award reparations only to named parties. *See Guam v. PFEL*, 7 S.R.R. at 168; *Gov’t of Guam*, 25 S.R.R. at 842; *Mar-Mol*, 27 S.R.R. at 1090. There is no reason to depart from those controlling holdings, particularly in light of subsequent events in at least one of those cases.

After Guam's 1989 claim as to un-named parties was rejected, it sought relief in federal court, arguing that the statute provided an implied right of action for a federal suit. *Gov't of Guam v. Am. President Lines*, 809 F. Supp. 150, 151 (D.D.C. 1993). The court made short work of that argument, dismissing the claim even though "the Commission lacks a class action procedure" and a district court right of action would have provided for more robust enforcement of the Shipping Act. *Id.* at 155. Affirming the dismissal, the United States Court of Appeals for the D.C. Circuit suggested in dicta -- even though the issue had not been briefed -- that it was an open question whether the Commission could ever hear a class claim. *Gov't of Guam v. Am. President Lines*, 28 F.3d 142, 148 (D.C. Cir. 1994). This dicta does nothing to shed any light on whether the Commission can hear class actions or whether it should overrule the Commission's own precedent.

This dicta resurfaced in *Mar-Mol*, where the Commission held that it could not award general restitution applicable to all Sea-Land shippers in Puerto Rico. 27 S.R.R. at 1090. The Commission then offered an interpretation of *Gov't of Guam*, stating -- also in dicta -- that "Rule 23 of the Federal Rules of Civil Procedure provides the mechanism by which a class action can be undertaken" and "Commission rules do not preclude litigants using the Class Action Rule."²² *Ibid.* This dicta-upon-dicta is not binding precedent and does not provide a principled basis for the Commission to permit a class action here. And, the dicta is not consistent: in *Puerto Rico Maritime Shipping Authority v. Federal Maritime Commission*, the United States Court of Appeals for the First Circuit also discussed *Gov't of Guam* -- also in dicta -- concluding that the class claims were "claims which the Commission could not hear." 75 F.3d 63, 67 (1st Cir. 1996). None of these cases analyzed the question in depth, admittedly because

²² The real question is not whether the Commission's rules affirmatively preclude class actions, but rather whether they affirmatively authorize class actions. And, they do not.

the issue was not squarely before the deciding forum. That said, the weight of authority dictates that the Commission should conclude that the Complaints cannot be sustained as class actions.

Even if the Shipping Act provided the Commission the discretion to hear class actions -- and it plainly does not -- the Commission has not implemented the necessary regulations or procedures that are a predicate to doing so. There is no precedent, either in the Commission or, for that matter, any other federal agency, for using a gap-filler rule designed and intended to fill gaps in procedural rules to create new authority to hear an entirely novel and unintended category of actions: class actions.

No federal agency has heard a class action in an adjudicatory proceeding without first having the statutory authority to do so and having implemented regulations specific to class actions. For example, the CPSC adopted a rule titled "Class actions" that explains in detail the procedures to be followed for class actions before that agency. *See* 16 *C.F.R.* § 1025.18 (outlining, among other things, prerequisites to class claim, requirements for composition of class, and notice requirements). Likewise, the Equal Employment Opportunity Commission ("EEOC") promulgated rules governing "Class complaints" that explain the narrow boundaries for class proceedings in employment discrimination proceedings before that agency (limited to federal government employees). *See* 29 *C.F.R.* § 1614.204. Other agencies likewise hear class claims in employment discrimination cases, all pursuant to regulations expressly providing for class actions in limited circumstances. All of these class action rules are narrow in scope and tailored to the specific agency; no agency has imported Federal Rule 23 wholesale.

At the same time, other federal agencies, including the Department of Housing and Urban Development and the Department of Labor, have "gap-filler" provisions similar to

Commission Rule 12.²³ Respondents' research has not revealed any instances where these gap-filler provisions have been used as a source of authority to hear class actions under Federal Rule 23.

Moreover, the EEOC and the Government Accountability Office, Personnel Appeals Board ("PAB") have regulations governing limited class action procedures along with "gap-filler" provisions similar to Commission Rule 12. The fact that these agencies have both class action regulations and "gap-filler" regulations underscores that a "gap-filler" is not a proper substitute for separate and properly adopted class action procedures tailored to individual agencies. This demonstrates that it would be inconsistent with the practice of the rest of the federal government for the Commission to interpret Commission Rule 12 so broadly as to include the ability to hear class actions.

Express regulations serve important and salutary purposes: they provide transparency and legitimacy to agency action; they put Congress on notice of the agency's plans, so that Congress can modify statutory authority if it does not want the agency to hear class actions, or if it wants to dictate the circumstances under which such actions may be brought; and they put interested parties and the public on notice, so that they can participate in the rulemaking process by offering commentary or suggested changes as appropriate. *See Chrysler Corp. v. Brown*, 441 U.S. 281, 316 (1979) ("In enacting the APA, Congress made a judgment that notions of fairness and informed decisionmaking require that agency decisions be made only after affording interested persons notice and an opportunity to comment."). Express rules also permit

²³ See, e.g., 24 C.F.R. § 180.105(b) (Dep't of Hous. and Urban Dev.) ("In the absence of a specific provision, the Federal Rules of Civil Procedure shall serve as a general guide."); 29 C.F.R. § 18.10 (Dep't of Labor, Office of Admin. Law Judges) ("The Federal Rules of Civil Procedure (FRCP) apply in any situation not provided for or controlled by these rules, or a governing statute, regulation, or executive order.").

that regulated parties understand the scope of the agency's power and set expectations accordingly. For the Commission to hear a class action in the absence of adopting specific rules permitting such actions not only leaves parties without guidance as to procedure, but it also conflicts with both the approach taken by every other federal agency that allows class actions, and the settled expectations of the industry the Commission is charged with regulating.

**3. A class action based on Commission Rule 12
is not sound administrative practice.**

The Commission may "borrow" from the Federal Rules, but only if doing so is consistent with "sound administrative practice." 46 *C.F.R.* § 502.12. It is not sound administrative practice to "borrow" Federal Rule 23 "lock, stock, and barrel" in order to allow these cases to proceed as class actions.

First, class actions are fact-intensive, complex, and time-consuming. The Commission has many other responsibilities to cover with a limited budget, and there are only two administrative law judges ("ALJs") to oversee all Shipping Act matters. Notwithstanding the competence and professionalism of the Commissioners, ALJs, and other staff at the Commission, class action proceedings are lengthy and labor intensive, and, if given the substantial resources they require to be done properly, can be expected to be so burdensome as to impair the Commission's ability to meet its other obligations. Although there may be some efficiency gains from hearing similar cases together, the Commission already has provisions for the consolidation of cases. 46 *C.F.R.* § 502.79 ("The Commission or the Chief Administrative Law Judge (or designee) may order two or more proceedings which involve substantially the

same issues consolidated and heard together.”). There are no additional efficiencies to be gained from expanding the Commission’s docket to include class actions.²⁴

Second, the Commission has no experience or expertise regarding class certification or managing class actions.

Third, the Administrative Procedure Act and sound administrative practice require that a rule on class actions be promulgated through standard notice and comment procedures. 5 U.S.C. § 553 (requiring that federal agency provide opportunity for notice and comment on substantive rules). A Commission decision to adopt class action procedures *perforce* would be substantive because it would broaden the reparations scheme of the Shipping Act. Yet, the Shipping Act, by its explicit terms, provides that reparations are available only to complainants, not to non-parties. A new rule allowing the award of reparations for shippers who are not themselves before the Commission fundamentally changes the substance of this remedial scheme. *See, e.g., Gov’t of Guam*, 809 F. Supp. at 155 (noting that “rejection of Guam’s [*parens patriae*] theory appear[ed] to have been based on substantive, not procedural, rulings by the Commission”). To make this change without providing notice and accepting public comment violates the Administrative Procedure Act and is not consonant with sound administrative practice.

Fourth, even if the notice and comment process need not be followed, sound administrative practice, at a minimum, requires adopting implementing rules specifically providing for class actions. That is the narrow but proper path other agencies have followed -- to allow class actions pursuant to clearly enacted rules -- which is sensible given the complexity of class actions and the issues that can arise when similar claims are heard together. Clear rules

²⁴ This is particularly so as interested claimants also may be added as named parties to the proceeding by amendment of the complaint, as was the case in *Gov’t of Guam*.

also serve the purpose of putting Congress, regulated parties, and the public on notice of the change in agency procedure and provide transparency to agency processes. And, they allow interested parties to provide feedback and suggest changes, which has been useful for other agencies when considering class action procedures.²⁵

Finally, sound administrative practice means that, in the absence of any statutory indication to the contrary, the agency will conduct its business consistent with the established practices of the rest of the federal government and the settled expectations of the industry. It is not open for dispute: no other agency hears class actions through a gap-filler rule.

If the Commission is to seek the authority to oversee class actions, its path is clearly demarcated: it should follow the time-honored process required by the Administrative Procedure Act by (a) drafting proposed rules outlining how it would do so, (b) providing notice of those draft rules, (c) allowing public comment, (d) evaluating the proposed rules in light of governing law and the comments received, and (e) publishing final rules. A contested complaint for reparations is a very poor substitute for the adoption of far-reaching rules, and the allowance of previously barred class actions plainly is far-reaching. In short, the Commission should dismiss Complainants' class action claims because they lack the procedural and substantive protections to which Respondents are entitled, which are both provided by law and followed by all other federal agencies.

²⁵ For example, the EEOC promulgated its limited class action rule in 1992, after notice and comment, and revised it in 1999 and 2012 to take advantage of the experience and insights of commentators and a dedicated working group. *See Federal Sector Equal Employment Opportunity*, 64 Fed. Reg. 37644, 37651 (July 12, 1999) ("The Federal Sector Workgroup identified a series of concerns with the class complaint process."); *Federal Sector Equal Employment Opportunity*, 77 Fed. Reg. 43498, 43503 (July 25, 2012) ("The Workgroup carefully considered the class complaint process and made a number of recommendations to improve its effectiveness.").

C. COMPLAINANTS LACK STANDING TO SEEK REPARATIONS.

Complainants' lack of standing to seek reparations dooms their complaints from the outset. Under the Commission's longstanding interpretation of the 1916 and 1984 iterations of the Shipping Act -- one that is consistent with the Supreme Court's interpretation of the Interstate Commerce Act and the federal antitrust laws -- only direct purchasers of Vehicle Carriers Services have standing to seek reparations. Complainants in three of the four cases -- the End-Payers, the Truck Centers, and the Auto Dealers (Docket Nos. 16-07, 16-10, and 16-11, respectively) -- readily admit that they are indirect purchasers. Complainants in the fourth case -- the Freight Forwarders (Docket No. 16-01) -- style themselves as "direct purchasers," but they do not allege any facts showing that they paid ocean freight to Respondents at all, much less that they paid ocean freight for their own accounts. And, their admission that they "arrange for the international ocean transportation of vehicles" confesses that, at most, they provide freight forwarding services and therefore are not "purchasers" at all. All of the Complainants lack standing to seek reparations, and the complaints must be dismissed. The reasons undergirding that inescapable conclusion follow.

1. Only "direct purchasers" have standing to seek reparations under the Shipping Act.

Although any "person" may file a complaint alleging a violation of the Shipping Act of 1984, 46 U.S.C. § 41301(a), only those that suffer "actual injury" as a result of the violation are entitled to seek reparations. 46 U.S.C. § 41305(b).²⁶ The Commission's

²⁶ The self-described "indirect purchaser" Complainants -- the End-Payers, the Truck Centers, and the Auto Dealers -- seek only reparations and no other form of relief. Although the alleged "direct purchaser"/Freight Forwarders also request a cease and desist order, that relief is unavailing: they do not allege that Respondents' allegedly unlawful conduct continues and, hence, a cease and desist order is unavailable. See Freight Forwarders Compl. ¶¶ 40-41. In any event, this does not rescue any of the claims for reparations from dismissal.

longstanding interpretation of the Shipping Act has been that, as to claims for overcharges or improperly inflated prices, only first-line direct purchasers of carrier services have suffered the “actual injury” that confers standing to seek reparations. *See, e.g., Gov’t of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 894 (ALJ, Admin. Final 2002). *Gov’t of Guam v. Sea Land* explains that the Shipping Act “has been deemed to ‘require rejection of reparations claims by persons who . . . claim reparations by arguing that the direct payor passed the carrier’s charges on to them.’” *Id.* at 902 (emphasis supplied). Respondents’ research has disclosed no case in which the Commission has allowed indirect purchasers standing to seek reparations based on overcharges or improperly inflated prices resulting from alleged violations of the Shipping Act. Rather, the Commission consistently has ruled to the contrary.

The Commission’s application of the “direct purchaser” standing rule has roots nearly a century old. In *Southern Pacific Co v. Darnell-Taenzer Lumber Co.*, 245 U.S. 531 (1918), a case involving reparations ordered by the Interstate Commerce Commission,²⁷ the Supreme Court explained that the injury, and thus the relief, belonged solely to the party that actually paid the carrier:

The plaintiffs suffered losses to the amount of the verdict when they paid. Their claim accrued at once in the theory of the law and it does not inquire into later events. . . . If it be said that the whole transaction is one from a business point of view, it is enough to reply that the unity in this case is not sufficient to entitle the purchaser to recover, any more than the ultimate consumer who in

²⁷ Interpretations of the Interstate Commerce Act serve as precedent for interpreting the Shipping Act. *See, e.g., U.S. Navigation Co. v. Cunard S.S. Co.*, 284 U.S. 474, 480-81 (1932) (“The Shipping Act is a comprehensive measure bearing a relation to common carriers by water substantially the same as that borne by the Interstate Commerce Act to interstate common carriers by land. . . . In its general scope and purpose, as well as in its terms, that act closely parallels the Interstate Commerce Act; and we cannot escape the conclusion that Congress intended that the two acts, each in its own field, should have like interpretation, application and effect. It follows that the settled construction in respect of the earlier act must be applied to the later one[.]”).

turn paid an increased price. He has no privity with the carrier. . . . The carrier ought not to be allowed to retain his illegal profit, and the only one who can take it from him is the one that alone was in relation with him, and from whom the carrier took the sum.

[*Id.* at 534 (emphasis supplied).]

The United States Shipping Board -- the Commission's predecessor -- adopted the "direct purchaser" rule in 1934. In *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B. 308 (1934), the Board held that the bankrupt direct payor complainant, not the trustee in the complainant's later-filed bankruptcy, was the only proper party at interest. Its holding explicitly relied on *Southern Pacific* in concluding that the Shipping Act "authorizes an award of reparations to the party injured," that the complainant "was injured the moment he paid the charges and was the person directly damaged by the collection . . . of the illegal rates[.]" *Id.* at 310-11.

Following *Oakland Motor Car*, the Commission consistently has continued to apply the "direct purchaser" standing rule for reparations complaints. For example, *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Admin. Final 1979), holds that "the law in complaint cases involving alleged overcharges . . . is that the person who paid the freight to the carrier has standing to recover reparation for injury, not a secondary party, even if the latter party ultimately bore the cost of the overcharge." *Id.* at 907 (emphasis supplied). *Sanrio* concluded that the consignee complainant lacked standing to seek reparations when the freight was paid by the shipper to the carrier, and not the consignee complainant. *Id.* at 909. And, most recently, *Gov't of Guam* held that the only parties that could seek reparations were the mainland shippers who paid the ocean freight directly to the carriers; consignees in Guam were ineligible for reparations even though the cost of the ocean freight had been passed on to them. In dismissing claims by

the consignees, *Gov't of Guam* catalogued the Commission's extensive and consistent application of the "direct purchaser" rule:

The other decided cases are to the same effect and include: *California Cartage Co. v. Pacific Maritime Association*, 23 S.R.R. 420, 427 (FMC 1985) ("the Commission has consistently construed [the 1916 Act section authorizing claims for reparations] as not permitting parties who have not actually paid contested charges to claim them as reparations in the absence of a valid assignment of the claim from the paying party"); *Trane Co. v. South African Marine*, 19 FMC 375, 378, n.9 & accompanying text (Init. Dec., adopted 1976) ("the complainant must show that that he has paid the freight or has succeeded to the claim in a valid fashion, such as by assignment"); *Carton-Print, Inc. v. Austasia Container Express*, 20 FMC 31, 34 (Init. Dec., Admin. Final 1977) ("[i]n order to seek reparations... complainant must either show that he has paid the freight or has a valid assignment of the claim from the person who did pay the freight"); *3M v. Hapag-Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981); and *FMC Corp. v. Argentine Line*, 19 S.R.R. 1940, 1491 (Settle. Off. 1980).

[*Gov't of Guam*, 29 S.R.R. at 902.]²⁸

The longstanding application of the direct purchaser rule also is consonant with federal antitrust law, which likewise limits recovery of damages to direct purchasers. Similar to 46 U.S.C. § 41301, section 4 of the Clayton Act provides that "any person who shall be injured

²⁸ The Commission has applied the direct purchaser rule so strictly that even parent or affiliated companies (or others related to the freight payor) are barred from seeking reparations where they themselves did not pay the freight directly to the carrier. See, e.g., *Stauffer Chem. Europe S.A. v. NYK Line*, 27 S.R.R. 417, 419 n.2 (FMC 1995) (holding that "the Commission has ruled that an overcharge case complainant, not merely its corporate affiliate, parent, or subsidiary, must produce evidence that it has either paid the freight or has validly succeeded to the claim"); *Procter & Gamble Mfg. Co. v. Lykes Bros. SS. Co.*, 25 S.R.R. 1370, 1371 (Settle. Off. 1991) (holding that parent company of "direct purchaser" shipper was ineligible to file claim for reparations because subsidiary, not parent, "paid the applicable charges and suffered any injury that might have resulted therefrom"); *Tradecheck, LLC v. Sea-Land Serv., Inc.*, 27 S.R.R. 334 (Settle. Off. 1995) ("While 'any person' may file with the Commission a sworn complaint alleging a violation of the Shipping Act of 1984, only a complainant demonstrating 'actual injury' can receive an award of reparations. Inasmuch as Tradecheck identifies its role as that of a freight auditor, lacking any cargo interest, or bill of lading relationship with any of the concerned carriers, it is clear that Tradecheck can demonstrate no actual injury arising from any of the alleged violations.").

in his business or property by reason of anything forbidden in the antitrust laws may sue therefor in any district court of the United States[.]” 15 U.S.C. § 15(a) (emphasis supplied).

Notwithstanding this seemingly broad language, *Illinois Brick Co. v. Illinois*, 431 U.S. 720 (1977), held that only direct purchasers have standing to recover damages authorized by the Clayton Act, outright rejecting the claim by the State of Illinois -- acting on behalf of itself and other similarly-situated local governmental entities -- for damages based on the allegation that it had been harmed by the manufacturers’ overcharges to the direct purchasers that were “passed on” to the State. The Supreme Court of the United States made short work of that claim, holding that an indirect purchaser cannot recover damages under the Clayton Act based on a “pass-on” theory.

There is a two-part rationale for *Illinois Brick*’s holding. *First*, the Supreme Court expressed concern with the complexity and uncertainty of apportioning damages between the direct and indirect purchasers. *Id.* at 731-32. It observed that, where there are multiple layers of purchasers, “[t]he demonstration of how much of the overcharge was passed on by the first purchaser must be repeated at each point at which the price-fixed goods changed hands before they reached the plaintiff.” *Id.* at 732-33. For that reason, allowing indirect purchasers to proceed with antitrust claims “would transform treble-damage actions into massive efforts to apportion the recovery among all potential plaintiffs that could have absorbed part of the overcharge from direct purchasers to middlemen to ultimate consumers” and, “[h]owever appealing this attempt to allocate the overcharge might seem in theory, it would add whole new dimensions of complexity to treble-damages suits and seriously undermine their effectiveness.” *Id.* at 737. It noted the “strong possibility that indirect purchasers remote from the defendant

would be parties to virtually every treble-damages action,” creating an intractable judicial burden in adjudicating complex indirect claims. *Id.* at 741.

Second, the Court expressed a well-founded concern that allowing both direct and indirect purchasers to seek damages would create “a serious risk of multiple liability for defendants.” *Id.* at 730. It explained that, “[e]ven though an indirect purchaser had already recovered for all or part of an overcharge passed on to it, the direct purchaser would still recover automatically the full amount of the overcharge that the indirect purchaser had shown to be passed on; similarly, following an automatic recovery of the full overcharge by the direct purchaser, the indirect purchaser could sue to recover the same amount.” *Ibid.*

The concerns that animated the recovery limitations expressed in *Illinois Brick* apply with the same or greater force here. If the Commission deviates from the 1934 rule of *Oakland Motor*, it would face the same complexities observed in *Illinois Brick*, creating an enormous administrative burden. The challenge of determining not only what portion of a vehicle’s price is attributable to a Shipping Act violation, but also the problem of further apportioning that amount among different levels of direct and indirect purchasers is insurmountable.²⁹ And, importantly, those complexities undermine the effectiveness of the

²⁹ The Commission’s rules governing reparations contain specific requirements for proof of damages to “direct purchaser” complainants but do not contemplate the apportionment of damages among “direct purchasers” and different levels of “indirect purchasers” who did not pay the allegedly inflated ocean freight. Commission Rule 251 provides that, when a matter is remanded for a determination of damages, the parties “will be given an opportunity to agree or make proof respecting the shipments and pecuniary amount of reparation due” which includes “freight bills and other exhibits bearing on the details of all shipments, and the amount of reparation on each[.]” 46 C.F.R. § 502.251 (emphasis supplied). Likewise, Commission Rule 252 provides that, where a complainant is required to fill out a reparations statement, it “shall forward the statement, together with the paid freight bills on the shipments, or true copies thereof, to the respondent or other person who collected the charges for checking and certification as to accuracy.” 46 C.F.R. § 502.252 (emphasis supplied).

available remedies for direct purchasers under the Shipping Act. *See Illinois Brick*, 431 U.S. at 745-46.³⁰ Also, deviating from the Commission's longstanding precedent limiting the availability of reparations under the Shipping Act to direct purchasers creates an unwarranted risk of multiple liability that, as the Commission already has concluded, Congress never intended.

2. Complainants are indirect purchasers and lack standing.

Each of the four Complaints must be dismissed for lack of standing. The End-Payers, the Truck Centers and the Auto Dealers -- Docket Nos. 16-07, 16-10, and 16-11, respectively -- candidly admit that they are indirect purchasers, and their Complaints therefore must be dismissed.³¹ The Freight Forwarders -- Docket No. 16-01 -- although asserting standing as "direct purchasers" in fact are not purchasers at all, also requiring dismissal of their Complaint. A closer examination of that claim makes the point clearly.

³⁰ Acceptance of an indirect theory of actual injury would allow respondents charged with a conspiracy to inflate prices to escape liability by arguing that direct purchasers never are entitled to reparations because they passed the cost on to their own customers. The Commission's longstanding rule, like *Illinois Brick*, forecloses that defense.

³¹ The End-Payers -- Docket No. 16-07 -- inescapably admit that they are, at best, only indirect purchasers: (i) "Complainants and members of the Class are consumers who had no direct contact or interaction with the Respondents[.]" and (ii) "Complainants and members of the Class had no means of obtaining any facts or information concerning any aspect of Respondents' dealings with OEMs or other direct purchasers." End-Payers Compl. ¶¶ 197, 198. The Truck Centers -- Docket No. 16-10 -- likewise specifically admit that they are indirect purchasers, stating: (i) "Complainants indirectly paid Respondents for Vehicle Carrier Services[.]" and (ii) "[t]he OEMs or their agents directly purchase Vehicle Carrier Services from Respondents. Complainants and the Truck and Equipment Dealer Classes are then billed in full and pay in full for the Vehicle Carrier Services when they purchase Vehicles from the OEMs with which they do business." Truck Centers Compl. ¶¶ 27, 55. Finally, the Auto Dealers -- Docket No. 16-11 -- also explicitly admit that they are indirect purchasers, noting that: (i) "Complainants indirectly paid Respondents for Vehicle Carrier Services[.]" and (ii) Respondents' "direct transactional contacts are original equipment manufacturers ("OEMs") - mostly large automotive, construction and agricultural manufacturers." Auto Dealers Compl. ¶¶ 19, 47.

The Freight Forwarders style themselves as “Direct Purchasers” and offer only the conclusory allegation that they “directly purchased Vehicle Carrier Services from one or more Respondents.” Freight Forwarders Compl. ¶¶ 8-9.³² But, the Freight Forwarders do not allege that they are cargo owners, they do not allege that they paid ocean freight directly to Respondents, and, even if they did, they do not allege that they paid the ocean freight for their own accounts. That failure alone is fatal to their claims.

The Freight Forwarders’ own allegations further undermine their self-characterization as “direct purchasers.” Their Complaint alleges that “Complainants and members of the proposed Class include companies that arrange for the international ocean transportation of vehicles and other individuals or entities purchasing directly from any Respondent (or from any current or former subsidiary or affiliate of any Respondent) Vehicle Carrier Services for shipments to and from the United States.” Freight Forwarders Compl. ¶ 25 (emphasis supplied). In their own words, the Freight Forwarders describe themselves as precisely that -- freight forwarders and, pointedly, not as shippers -- in respect of the transportation of vehicles by Respondents. That self-description is fatal to their standing to seek reparations.

Freight forwarders do not purchase transportation services for their own account, but only as agents for their customers, the true purchasers and, more to the point, the only direct purchasers. The Commission has explained that a “freight forwarder... dispatches shipments only ‘on behalf of shippers.’ They are not themselves shippers.” *Kobel v. Hapag-Lloyd A.G.*, 32

³² Tellingly, one of the named freight forwarder Complainants -- RCL Agencies, Inc. -- does not even assert the conclusory allegation that it “directly purchased Vehicle Carrier Services from one or more Respondents.” Freight Forwarders Compl. ¶ 10.

S.R.R. 1720, 1742 (FMC 2013) (quoting 46 U.S.C. § 40102(18)).³³ Because a freight forwarder is an agent rather than a shipper, a freight forwarder “cannot enter into a service contract [i.e., a contract to purchase transportation services] with an ocean common carrier” such as Respondents. *Ibid.* Instead, the underlying cargo owner remains the purchaser of Vehicle Carrier Services from Respondents: “Under the Commission’s rules, when a shipper employs the services of a freight forwarder to facilitate the ocean transportation, the shipper is considered as a principal.” *Ibid.* (citing 46 C.F.R. § 515.2(q)).

The Commission’s own records³⁴ confirm that two of the three named Freight Forwarders are or have been licensed as freight forwarders: Complainant RCL Agencies, Inc. is licensed solely as a freight forwarder (License No. 016241), while Complainant Cargo Agents, Inc. previously was licensed as a non-vessel owning common carrier (NVOCC) and a freight forwarder (License No. 018789), but its licenses were revoked in 2012 and 2014, respectively. To the extent that they were operating as freight forwarders and not as direct shippers, Complainants -- as a matter of law -- were not direct purchasers, or, for that matter, even purchasers, which status is properly reserved for their principals. And, although Complainants allege that they “arranged” for Vehicle Carrier Services on behalf of others, they do not allege the necessary facts that would give them standing to pursue a complaint for reparations: that they paid ocean freight - - on their own behalf -- directly to any of the Respondents. That alone dooms their claims.

³³ “A freight forwarder’s name may appear in the shipper identification box on the bill of lading, but the forwarder must be identified as the ‘shipper’s agent.’” *Ibid.* (quoting 46 C.F.R. § 515.42(a)).

³⁴ The Presiding Officer may take official notice of the Commission’s own records. 46 C.F.R. § 502.226.

The Shipping Act, as consistently applied by the Commission for over eighty years and as paralleled by federal antitrust law, grants standing to seek reparations to a limited group: only first-line, direct purchasers of Vehicle Carrier Services that suffer “actual injury” have standing to seek reparations. Each of the Freight Forwarders either concedes that it is an indirect purchaser or fails to allege facts showing that it is a direct purchaser. On their face, then, each of the Complaints fails to allege facts showing that Complainants suffered an “actual injury.” As a matter of law, Complainants lack standing to seek reparations. Their Complaints must be dismissed.

D. THE COMPLAINTS FAIL TO STATE COGNIZABLE SHIPPING ACT CLAIMS.

Rather than draft complaints specific to a Shipping Act proceeding, Complainants instead chose to copy and paste their federal court antitrust and state competition allegations, tacking on, as an afterthought, unexplained and insufficiently pled Shipping Act allegations. As the Commission repeatedly has recognized, the Sherman and Shipping Acts are different, and Sherman Act allegations do not necessarily support Shipping Act violations. *See, e.g., River Parishes Co. v. Ormet Primary Alum. Corp.*, 28 S.R.R. 751, 767 (FMC 1999). Complainants’ recycled antitrust allegations fail to support the alleged Shipping Act violations, and all seven claims should be dismissed, either for lack of subject matter jurisdiction pursuant to *Fed. R. Civ. P.* 12(b)(1), or for failure to state cognizable claims pursuant to *Fed. R. Civ. P.* 12(b)(6).³⁵

1. The § 41102(c) claims should be dismissed for lack of subject matter jurisdiction.

Whether claims asserted are within the Commission’s jurisdiction is a threshold issue. *River Parishes*, 28 S.R.R. at 761 (upholding general rule that agencies resolve

³⁵ The Commission may dismiss defective claims pursuant to *Fed. R. Civ. P.* 12(b)(1) and (b)(6). *See The Lake Charles Harbor and Terminal Dist. v. W. Cameron Port, Harbor and Terminal Dist.*, FMC Docket No. 06-02, 2007 WL 2468431, *7 (FMC Aug. 2, 2007).

jurisdictional issues before addressing merits). Like any other federal agency, the Commission has subject matter jurisdiction only over violations within its legislative scope, in this instance the Shipping Act. *See* 46 U.S.C. § 41301(a). Complainants bear the burden of proving the existence of both subject matter and personal jurisdiction. *Boudreau v. United States*, 53 F.3d 81, 82 (5th Cir. 1995). And, it is axiomatic that subject matter jurisdiction cannot be established when the alleged wrongful conduct falls outside the scope of the Shipping Act provision at issue. *Cargo One Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1643 (FMC 2000).

Respondents' claimed violations of § 41102(c)³⁶ should be dismissed because, on their face, they lie beyond the Commission's subject matter jurisdiction. Former Section 10(d)(1) of the Shipping Act provides:

Practices in Handling Property.- A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

[46 U.S.C. § 41102(c) (emphasis supplied).]

Section 41102(c) explicitly is limited to regulations and practices with respect to property.

Definition of "Package," 23 S.R.R. 111, 114 (FMC 1985) ("Section 17 of the 1916 Act and Section 10(d)(1) of the 1984 Act deal with 'just and reasonable regulations and practices' relating to the 'receiving, handling, storing, or delivering of property[.]' Sections 17 and 10(d)(1) do not empower the Commission to address unjust or unreasonable carrier activity that relates to the transportation of property[.]"). By its plain language, § 41102(c) does not cover the

³⁶ The alleged indirect purchasers -- the End-Payers, the Truck Centers, and the Auto Dealers, Docket Nos. 16-07, 16-10 and 16-11, respectively -- identify alleged violations by numbers; the alleged direct purchasers -- the Freight Forwarders, Docket No. 16-01 -- use letters. Each alleges a violation of § 41102(c): the indirect purchasers Complaints identify that claim as violation no. 3, and the Freight Forwarders complaint identifies that claim as violation "D".

transportation of cargo, which is the subject of the Complaints. *See, e.g.,* End-Payers Compl. ¶¶ 124-47. Complainants' claimed violation of § 41102(c) -- based on transportation rather than receiving, handling, storing or delivering practices -- therefore, does not sustain subject matter jurisdiction over a § 41102(c) claim. *See ANERA and Its Members – Opting Out of Service Contracts*, 28 S.R.R. 1215, 1229 (FMC 1999) (explaining that respondent to show cause order made “forceful case” that service contract provisions stating line haul rates do not fall within scope of section 10(d)(1)).

Commission precedent confirms the lack of subject matter jurisdiction over claimed violations of § 41102(c) where, as here, the allegations do not involve regulations or practices related to the receiving, handling, storing or delivery of property. In *Bethlehem Steel Corp. v. Indiana Port Commission*, the Commission concluded that it lacked jurisdiction over claims that harbor charges violated § 41102(c)'s predecessor when the charges were “unrelated to cargo handling.” 21 FMC 629, 633 (Jan. 7, 1979), *aff'd sub. nom., Bethlehem Steel Corp. v. FMC*, 642 F.2d 1215 (D.C. Cir. 1980).³⁷ Also, in *Louis Dreyfus Corp. v. Plaquemines Port, Harbor & Terminal District*, the Commission explained that, “in order for the Commission to assert jurisdiction” over an alleged violation of § 41102(c)'s predecessor, the practices at issue “must have an underlying purpose related to terminal operations.” 25 FMC 59, 67 (July 30, 1982). Federal courts have agreed, ruling that the Commission has jurisdiction over § 41102(c) claims when they involve “receiving, handling, storing, or delivering property.” *Puerto Rico*

³⁷ *Bethlehem Steel* addressed 46 U.S.C. § 816, originally enacted as Section 17 of the Shipping Act of 1916; that provision was carried over to the Shipping Act of 1984, was re-codified and is identical in relevant part to the current § 41102(c). *See Muzorori v. Canada State Africa Lines, Inc.*, FMC Docket No. 1949(F), 2016 WL 3922397, at *34 (FMC July 14, 2016) (explaining that “[a]ny argument that these two provisions are different . . . lacks reason, foundation, or plausibility”) (Comm’r Khouri concurring in part and dissenting in part, in which Comm’r Dye joined).

Ports Auth. v. FMC, 919 F.2d 799, 803 (1st Cir. 1990) (explaining that § 41102(c) covers “furnishing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier”).

Because none of Complainants’ claimed violations of § 41102(c), on their face, involve regulations or practices over which the Commission has jurisdiction, they must be dismissed for want of subject matter jurisdiction. *See, e.g., Crocus Inv., LLC v. Marine Trans. Logistics, Inc.*, 34 S.R.R. 327 (ALJ June 17, 2006) (dismissing claimed violations of § 41102(c) for lack of jurisdiction when claims exceeded Section’s scope).

2. The Complaints must be dismissed for failing to state cognizable violations of the Shipping Act.

The Complaints also should be dismissed in their entirety because they fail to state cognizable and plausible violations of the Shipping Act.

In evaluating whether a complaint states a Shipping Act claim, the Commission relies on federal case law interpreting Federal Rule 12(b)(6). *See Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620 (FMC 2014). To survive a Federal Rule 12(b)(6) challenge, a complaint must contain sufficient factual matter to “state a claim to relief that is plausible on its face.” *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 677 (2009). The complaint must be sufficient to “give the defendant fair notice of what the . . . claim is and the grounds upon which it rests.” *Twombly*, 550 U.S. at 555. “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Iqbal*, 556 U.S. at 677 (quoting *Twombly*, 550 U.S. at 555). “Nor does a complaint suffice

if it tenders ‘naked assertion[s]’ devoid of ‘further factual enhancement.’” *Id.* (quoting *Twombly*).

Each of Complainants’ seven alleged Shipping Act violations fails to meet these basic pleading requirements. A detailed review supporting that conclusion follows.

(a) **The Complaints do not adequately allege a § 41102(c) violation for failing to establish and enforce just and reasonable practices.**³⁸

In addition to their failure to establish subject matter jurisdiction, Complainants’ § 41102(c) claim should be dismissed for failure to plead a plausible violation of that Section.

A claim under § 41102(c) must, at a bare minimum, allege facts showing that the respondents “fail[ed] to ‘establish’ just and reasonable regulations and practices” related to handling, storing, or delivering property, that the “established regulations and practices are unjust or unreasonable,” or that they did not “observe and enforce’ the established just and reasonable regulations and practices.” *Kobel*, 32 S.R.R. at 1729-30. The Complaints -- which merely assert “interfer[ence] with the international transportation” -- lack the factual content necessary to state a § 41102(c) claim. *See* Freight Forwarders Compl. ¶ 118; End-Payors Compl. ¶ 212; Truck Centers Compl. ¶ 189; Auto Dealers Compl. ¶ 176. None of the Complaints states any facts showing any specific regulation or practice that allegedly was not established, or allegedly was not observed and enforced. Likewise, none of the Complaints provide facts showing these unidentified regulations or practices were not reasonable or just. Further, none of the Complaints allege facts showing that the unidentified regulations and practices relate to receiving, handling, storing, or delivering property.

³⁸ Alleged violation D of the Freight Forwarders Complaint, and alleged violation 3 of the End-Payors, Truck Centers and Auto Dealers Complaints.

“[N]aked assertion[s]” of a violation of “international transportation,” “devoid of ‘further factual enhancement,’” are not adequate to state a claim. *Iqbal*, 556 U.S. at 677 (quoting *Twombly*, 550 U.S. at 555). The inadequately alleged violations of § 41102(c) must be dismissed, consistent with past practice where the Commission has dismissed complaints where the complainant failed to state facts establishing the predicate acts necessary to give rise to a violation. *See. e.g., Global Link Logistics, Inc. v. Hapag-Lloyd, A.G.*, 33 S.R.R. 512 (ALJ 2014) (dismissing § 41102(c) claim for failure to allege facts showing any specific regulations or practices were unjust or unreasonable); *Santa Fe Discount Cruise Parking, Inc. v. Bd. of Trustees of the Galveston Wharves*, 33 S.R.R. 1283 (ALJ 2014) (dismissing § 41102(c) claim for failure to allege facts showing challenged practices related to property).

(b) Complainants fail to state a cognizable cause of action under the provisions of § 41102(b) concerning operating under an unfiled agreement.³⁹

Complainants allege, with no explanation, that Respondents violated § 41102(b). *See* Freight Forwarders Compl. ¶ 116; End-Payors Compl. ¶ 210; Truck Centers Compl. ¶ 187; Auto Dealers Compl. ¶ 174. This Section, originally enacted as § 10(a) of the Shipping Act, provides that persons may not operate under certain agreements if they are not effective or if the operations are not in accordance with the agreement’s terms. Although § 41102(b) may give rise to a private claim for reparations, Complainants fail to allege their claims adequately.

As their sole support for their claims, Complainants try to marry a few snippets of § 40301 -- which generally identifies agreements covered by the Shipping Act -- with a series of “labels” that describe general types of agreements, albeit in Sherman Act jurisprudence. *See* Freight Forwarders Compl. ¶ 112-115; End-Payors Compl. ¶ 208; Truck Centers Compl. ¶ 185;

³⁹ Alleged violation B of the Freight Forwarders Complaint, and alleged violation 2 of the End-Payors, Truck Centers and Auto Dealers Complaints.

Auto Dealers Compl. ¶ 172. This formulaic pleading, which merely parrots statutory language and applies general labels, fails to state a Shipping Act claim. *See Iqbal*, 556 U.S. at 677.

Moreover, Complainants fail to allege even the most basic information about the allegedly unfiled agreements: (a) they do not allege any facts that identify the agreements at issue from among the many referenced throughout the Complaints; (b) they do not identify the parties to those agreements; (c) they do not identify the substance of those agreements; (d) they do not identify which particular agreements allegedly should have been filed and were not; (e) they do not identify which agreements, if any, resulted in alleged injury to Complainants; and/or (f) they do not identify which specific violations of the Shipping Act were implicated by those actions. Absent this information, Respondents are deprived of “fair notice” of the substance of Complainants’ claims under § 41102, which requires dismissal for failure to plead adequately. *See Twombly*, 550 U.S. at 555. *See also Sikhs for Justice v. Nath*, 893 F. Supp. 2d 598, 616 (S.D.N.Y. 2012) (holding that “allegations in a complaint must be complete enough to enable a reader to understand how each defendant was personally involved in the wrongdoing plaintiff is alleging”).

(c) Complainants fail to state a cognizable cause of action under the § 40302 agreement filing provisions.⁴⁰

The first count in each of the Complaints alleges, without explanation, that Respondents “violated” Section 40302(a). *See Freight Forwarders Compl.* ¶¶ 112-15; *End-Payors Compl.* ¶ 208; *Truck Centers Compl.* ¶ 185; *Auto Dealers Compl.* ¶ 172. Section 40302(a), originally enacted as § 5(a) of the Shipping Act, provides that certain agreements are to be filed with the Commission. It does not, however, provide any private party penalties for

⁴⁰ Alleged violation A of the Freight Forwarders Complaint, and alleged violation 1 of the End-Payors, Truck Centers and Auto Dealers Complaints.

the failure to file; nor does it provide any private remedies for an alleged failure to file. To the contrary, the regulations accompanying this Section explicitly provide that a person in violation of § 40302's filing provisions is "liable to the United States Government for a civil penalty." 46 C.F.R. § 535.901 (referring to 46 U.S.C. § 41107(a)). Respondents' research has failed to disclose any Commission ruling affirming the existence of a private cause of action under § 40302(a). And, recognizing a new cause of action not expressly created by statute would be an *ultra vires* act. *See, e.g., Alexander v. Sandoval*, 532 U.S. 275 (2001) (explaining agencies cannot create causes of action not provided by statute). In short, this § 40302 "claim" does not exist as a matter of law and must be dismissed. *See Oryszak v. Sullivan*, 576 F.3d 522, 526 (D.C. Cir. 2009) (dismissing claim when statute did not provide alleged private cause of action).

The fact that § 40302 does not provide a private cause of action is reinforced by the fact that such a cause of action is duplicative of the cause of action under §41102(b). Congress did not intend to provide duplicative relief for the same conduct. Even if §40302 does provide a private cause of action, it must be dismissed because, as explained above, Complainants once again have failed to identify with sufficient particularity the agreements that allegedly were required to be filed.

(d) Complainants' conclusory allegations of violations of the filing regulations also fail to state a cognizable cause of action.⁴¹

Complainants similarly allege that Respondents "violated" agreement filing provisions of 46 C.F.R. § 535.401, *et seq.* *See* Freight Forwarders Compl. ¶ 117; End-Payors Compl. ¶ 220; Truck Centers Compl. ¶ 197; Auto Dealers Compl. ¶ 184. This claim similarly should be dismissed.

⁴¹ Alleged violation C of the Freight Forwarders Complaint, and alleged violation 7 of the End-Payors, Truck Centers and Auto Dealers Complaints.

The Commission's filing regulations provide no private cause of action; they refer only to liability to the U.S. Government for violations. *See* 46 C.F.R. § 535.901. And, the Commission may not infer a cause of action outside the plain language of the statute -- 46 U.S.C. § 41107 -- that is the source of the regulation. *See Alexander*, 532 U.S. at 291 ("Agencies may play the sorcerer's apprentice but not the sorcerer himself.") Even if a private cause of action were available, Complainants fail to allege the facts necessary to state a plausible cause of action. Like the other alleged filing violation claims, this claim must be dismissed for, among other things, failing to state a claim upon which relief can be granted.

(e) **The Complaints fail to allege any facts showing a disclosure of information in violation of § 41103(a).**⁴²

Complainants' § 41103(a) claim also should be dismissed for failing to allege the facts necessary to plead a violation. Section 41103(a), originally enacted as § 10(b)(13) of the Shipping Act, provides that certain persons:

may not knowingly disclose, offer, solicit, or receive any information concerning the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee, if the information - (1) may be used to the detriment or prejudice of the shipper, the consignee, or any common carrier; or (2) may improperly disclose its business transaction to a competitor.

[46 U.S.C. § 41103(a).]

The harm this Section is intended to interdict is the disclosure of confidential business information. *See Smart Garments, v. Worldlink Logix Servs., Inc.*, 33 S.R.R. 65, 69-70 (FMC 2013) ("The harm is clearly in the areas of commercial privilege and confidentiality. The last paragraph of section 10(b)(13) is clear in its several references to the "information" being

⁴² Alleged violation 4 of the End-Payers, Truck Centers and Auto Dealers Complaints; the Freight Forwarders Complaint does not allege a violation of § 41103(a).

confidential business information.”) (Comm’r Khouri concurring in part and dissenting in part). Section 41103(a) applies to “information concerning the nature, kind, quantity, destination, consignee, or routing of . . . property tendered or delivered to a common carrier.” *DNB Exports LLC, v. Barsan Global Lojistik Ve Gumruk Musavirligi A.S.*, 33 S.R.R. 670, 679 (FMC 2014).

Complainants summarily allege that information was disclosed, *see, e.g.*, Auto Dealers Compl. ¶ 178, but fail to identify any specific confidential information allegedly disclosed. As a result, they abjectly fail to establish that the information they claim was disclosed in fact was shipping-related information covered by the Shipping Act, *see DNB Exports*, 33 S.R.R. at 679.⁴³ More to the point, Complainants fail to allege that it was their confidential information that was either obtained or disclosed to any of the Respondents. The very fact that the Shipping Act permits a shipper or consignee to consent to the dissemination of information clearly indicates that § 41103(a) is not designed with alleged third-parties -- or even further-removed parties like Complainants -- in mind. Failing to allege that any of Complainants’ confidential information was obtained or otherwise disclosed renders the alleged violation of § 41103(a) null from the outset.

Even assuming that Complainants could assert a violation of § 41103(a) -- although none of their information allegedly was disclosed -- their recycled Sherman Act allegations fail to state a claim for multiple reasons. Complainants fail to state facts showing what information allegedly was disclosed, or that the information in fact was confidential. *See DNB Exports*, 33 S.R.R. at 680. Even if Complainants establish the confidentiality of their own shipping-related information, they fail to state facts showing Respondents were not otherwise

⁴³ It goes without saying that the Commission lacks subject matter jurisdiction over claims involving information outside the scope of the Shipping Act. *See DNB Exports*, 33 S.R.R. at 683-84.

authorized to disclose the information. *See* 46 U.S.C. § 41103(a) (exempting disclosure with consent). Further, Complainants allege no facts plausibly showing that any particular Respondent “knowingly” disclosed confidential information in violation of § 41103(a). *See DNB Exports*, 33 S.R.R. at 679. In the final analysis, the claimed violation of § 41103(a) should be dismissed because Complainants’ retread Sherman Act allegations do not state such a violation. *See Twombly*, 550 U.S. at 555 (holding that claim that fails to state “the grounds upon which it rests” should be dismissed).

(f) The claim that Respondents unreasonably refused to deal in violation of §§ 41104(10) and 41105(1) is implausible and contrary to law.⁴⁴

Complainants assert two overlapping claims that Respondents unreasonably refused to deal; neither is sustainable and both should be dismissed.

Complainants allege that Respondents violated § 41104(10), originally enacted as § 10(b)(1) of the Shipping Act, which prohibits carriers from “unreasonably refus[ing] to deal or negotiate.” Freight Forwarders Compl. ¶ 121; End-Payors Compl. ¶ 216; Truck Centers Compl. ¶ 193; Auto Dealers Compl. ¶ 180. They also allege that Respondents violated § 41105(1), originally § 10(c)(1) of the Shipping Act, which prohibits carriers from conspiring to “unreasonabl[y] refuse to deal.” Freight Forwarders Compl. ¶ 120; End-Payors Compl. ¶ 218; Truck Centers Compl. ¶ 195; Auto Dealers Compl. ¶ 182. Under the Shipping Act, a party unreasonably refuses to deal when it “shuts out” another for reasons having no relation to legitimate transportation factors. *See Global Link*, 33 S.R.R. at 527.

The claimed refusals to deal are implausible because Complainants themselves were not purchasers of shipping services. The End-Payors, Truck Centers and Auto Dealers

⁴⁴ Alleged violations E-F of the Freight Forwarders Complaint, and alleged violations 5-6 of the End-Payors, Truck Centers and Auto Dealers Complaints.

admit that they merely purchased vehicles, *see, e.g.*, End-Payors Compl. ¶ 186; Truck Centers Compl. ¶ 168; Auto Dealers Compl. ¶ 151, while the Freight Forwarders allege that they arranged shipping services for others, *see* Freight Forwarders Compl. ¶ 25. None of the Complainants states any facts showing they actually purchased shipping services from Respondents. That raises a practical conundrum that dooms this claim: Respondents cannot refuse to deal or negotiate with those who never approached them for their services.

Complainants' allegations that Respondents refused to deal also are contradicted by their own admissions. The Complaints contain numerous admissions of actual dealings between and among Respondents, shippers and others engaging in multiple pricing negotiations, entering into various shipping contracts, and providing shipping services to OEMs. *See, e.g.*, End-Payors Compl. ¶¶ 82-90. These admissions contradict Complainants' suggestion that Respondents refused to deal with them. *See, e.g., Global Link*, 33 S.R.R. at 527 (dismissing refusal to deal claim when "that claim is contradicted by the facts alleged in the Complaint"); *Santa Fe Discount*, 33 S.R.R. at 1295 (dismissing refusal to deal claim where complaint reflected respondent had dealt with and had not "shut out" complainants). Complainants' overall case theory is premised on Respondents having provided shipping services to OEMs.

In an attempt to plead around the admitted facts that Respondents in fact did deal with those who purchased their services, Complainants allege that Respondents agreed not to pursue business opportunities. *See, e.g.*, Freight Forwarders Compl. ¶ 121; End-Payors Compl. ¶ 216; Truck Centers Compl. ¶ 193; Auto Dealers Compl. ¶ 180. Even assuming this allegation was true, it nonetheless does not support a violation of §§ 41104(10) or 41105(1). By their terms, these Sections prohibit unreasonable refusals to deal or negotiate; they do not impose an affirmative obligation to initiate the pursuit of potential business. *Cf. DSW Int'l, Inc. v.*

Commonwealth Shipping, Inc., 31 S.R.R. 1850, 1865 (ALJ Mar. 29, 2011) (dismissing refusal to deal claim when claimant had not tried to initiate negotiations). As is self-evident from their Complaints, Complainants do not allege any of them attempted to deal or negotiate with Respondents and were met with a refusal. More to the point, Complainants do not identify any parties that allegedly were refused by Respondents, let alone unreasonably so. The refusal to deal claims must be dismissed for failure to state violations of §§ 41104(10) or 41105(1).

(g) The Complaints do not state facts that plausibly support an agreement to allocate in violation of § 41105(6).⁴⁵

Complainants fail to state facts that plausibly support the alleged agreement to allocate in violation of § 41105(6), which defines allocation as an agreement that (a) “allocate[s] shippers among specific carriers that are parties to the agreement” or (b) “prohibit[s] a carrier that is a party to the agreement from soliciting cargo from a particular shipper.” Complainants’ repackaged Sherman Act allegations do not state facts showing a violation of either prong of this Section.

In sparse conclusory sentences, Complainants assert that Respondents agreed to allocate customers. *See, e.g.*, Freight Forwarders Compl. ¶ 119; End-Payors Compl. ¶ 218; Truck Centers Compl. ¶ 195; Auto Dealers Compl. ¶ 1820. The few allegations specific to the Shipping Act state no facts about who, when, where, or how the alleged agreement was reached, or which customers allegedly were allocated. *See ibid.* These bare conclusions are entitled to no weight, *Twombly*, 550 U.S. at 564, n.9-10, and they fail to state plausible support for the alleged allocation agreement. *McCullough v. Zimmer*, 382 F. App’x 225, 230, n.6 (3d Cir. 2010) (holding that complaint that “mentioned no specific time, place, or person involved in the

⁴⁵ Alleged violation E of the Freight Forwarders Complaint, and alleged violation 6 of the End-Payors, Truck Centers and Auto Dealers Complaints.

alleged conspiracies” was deficient because it did not allege who “‘supposedly agreed, or when and where the illicit agreement took place’” (quoting *Twombly*, 550 U.S. at 565 n.10)).

Nor do Complainants’ broader but misplaced Sherman Act allegations plausibly support the alleged allocation agreement. Although Complainants do allege “agreements” in broad, conclusory language, *see, e.g.*, End-Payers Compl. ¶¶ 135-44,⁴⁶ they state no facts that support the existence of the alleged agreements. For example, Complainants do not allege that they were unable to ship with any Respondents due to allocation agreements. And, tellingly, Complainants do not identify a single shipper that was prevented from utilizing its carrier of choice due to the alleged agreements. *See, e.g., In re Elevator Antitrust Litig.*, 502 F.3d 47 (2d Cir. 2007) (affirming dismissal of complaint lacking facts showing alleged agreement was carried out, among other reasons). Lacking these factual allegations to support the existence of the alleged agreements, there simply is not enough in the Complaints to suggest they actually were made. *See Twombly*, 550 U.S. at 570.⁴⁷

⁴⁶ Complainants use of the word “agreement” does not relieve them of the obligation to state facts that plausibly support the existence of the alleged agreement. *In re Travel Agent Comm’n Antitrust Litig.*, 583 F.3d 896, 905 (6th Cir. 2009) (explaining that complaint’s references to “agreement” were “nothing more than a legal conclusion ‘masquerading’ as a factual allegation”).

⁴⁷ The Complaints also recite Sherman Act “plus factors” for inferring conspiracies. *See, e.g.*, End-Payers Compl. ¶¶ 93-121, 156-62. These factors are irrelevant to Shipping Act claims. *See River Parishes, supra* (rejecting argument that Sherman and Shipping Acts proofs are identical). In any event, Complainants’ “factors” do not plausibly support an inference of an alleged allocation agreement.

More to the point, the “barrier to entry,” “inelastic demand,” “concentrated market,” and “homogenous product” factors Complainants allege are boilerplate Sherman Act allegations; they contain no facts linking them to the alleged allocation agreement and, thus, they do not plausibly support that alleged agreement. *See, e.g., Elevator Antitrust*, 502 F.3d at 52. The “opportunity” factor merely alleges that Respondents’ personnel could have communicated; because it is speculative, most courts conclude that this factor, even if alleged at length, is insufficient to support an inference of conspiracy. *See, e.g., Travel Agent.*, 583 F.3d at 905. The “government investigation” factor also is insufficient because Complainants do not link any

Even if Complainants' Sherman Act allegations plausibly alleged agreements subject to the Shipping Act, Complainants fail to show that they would violate § 41105(6). In a handful of paragraphs, Complainants allege only that some Respondents agreed not to bid out of "respect," or not to pursue customers for some routes. *See* Freight Forwarders Compl. ¶ 62; End-Payers Compl. ¶¶ 135-44; Truck Centers Compl. ¶¶ 113-22; Auto Dealers Compl. ¶¶ 99-108. These allegations, even if accepted as true, would not violate either prong of § 41105(6). As to the first prong, Complainants state no facts showing specific shippers could ship only with specific Respondents. To the contrary, the alleged agreements, for example, would not prevent shippers from approaching Respondents to engage their services. As to the second prong, Complainants state no facts showing any Respondents were prohibited from doing business with specific shippers, and there is no allegation that any shipper could not do business with its chosen carrier. Upon examination, the alleged agreements, even assuming they exist, do not bar shippers from freely engaging carriers, which the Commission has held is required for a § 41105(6) violation. *See Military Sealift Command v. Sea-Lift Serv., Inc.*, 27 S.R.R. 874, 882 (FMC 1996).⁴⁸

investigations in other markets with the alleged allocation agreement in this proceeding. *See Elevator Antitrust*, 502 F.3d at 52. The "excess capacity" factor is irrelevant because the Complaints expressly limit it to claims other than the alleged allocation agreement. *See, e.g.*, End-Payers Compl. ¶¶ 121-23. Like *Twombly*, these factors, even if applied, fail to "nudge" the existence of the alleged allocation agreement "across the line from conceivable to plausible." 550 U.S. at 570.

⁴⁸ The Freight Forwarders claim, without explanation, that § 41105(6) also was violated by Respondents "restrict[ing] the use of intermodal services" and "denying in the export foreign commerce of the United States compensation to ocean freight forwarders, or limiting that compensation to less than a reasonable amount." Freight Forwarders Compl. ¶ 120. Claims that are not explained in any way likewise must be dismissed. *See Twombly*, 550 U.S. at 555 (explaining that naked claims without factual enhancement are dismissed).

E. WHETHER PROPER SERVICE HAS BEEN EFFECTED SHOULD BE DEFERRED.

Service of process of the complaints was effected by the Secretary of the Commission by express mail, as provided in 46 *C.F.R.* § 502.113(b). In respect of the non-U.S. Respondents, it is respectfully submitted that such service violates the Convention of 15 November 1965 on the Service Abroad of Judicial and Extrajudicial Documents in Civil or Commercial Matters (“the Hague Convention”).⁴⁹

That said, and in lieu of more robust briefing on this point, it is respectfully submitted that the Commission need not address the issue at this juncture. In *Menon v. Water Splash, Inc.*, 472 S.W.3d 28 (Tex. App 2015), *review denied*, 2016 Tex. LEXIS 423 (Tex. Sup. Ct.), *cert. granted sub nom Water Splash, Inc. v. Menon*, 137 S. Ct. 547 (2016), the Supreme Court of the United States will answer the question of whether service by mail under Article 10(a) of the Hague Convention -- which safeguards “the freedom to send judicial documents, by postal channels, direct to persons abroad” (emphasis supplied) -- allows a party to serve process by mail and trumps the provisions of Article 5 of the Hague Convention that require that the “Central Authority” of the receiving state “shall itself serve the document or shall arrange to have it served by an appropriate agency[.]” *See also* Articles 10(b) and 10(c) of the Hague Convention (safeguarding “the freedom of judicial officers, officials or other competent persons of the State of origin to effect service of judicial documents directly through the judicial officers, officials or other competent persons of the State of destination” and “the freedom of any person interested in a judicial proceeding to effect service of judicial documents directly through the judicial officers, officials or other competent persons of the State of destination” (emphasis

⁴⁹ Available at <https://assets.hcch.net/docs/f4520725-8cbd-4c71-b402-5aae1994d14c.pdf>.

supplied)). *Water Splash* was argued on March 22, 2017,⁵⁰ and a decision is expected before the end of the Term in June 2017.

Because a definitive ruling on the issue is forthcoming while these motions are under consideration, Respondents respectfully submit that this Commission should stay its hand until that decision is published: if *Water Splash* is affirmed, then the service of process used here against the non-U.S. Respondents is ineffective and invalid; if *Water Splash* is reversed, then the propriety of the method of service of process used here must be reexamined on a non-U.S. Respondent-by-non-U.S. Respondent basis, in order to determine whether each State of destination opted out of the provisions of Article 10(a) of the Hague Convention, thereby disallowing service by mail and requiring service of process according to Articles 5 and 10(b) and (c) of the Hague Convention.

IV. CONCLUSION.

For the foregoing authority, arguments and reasons, Respondents respectfully pray that their motion to dismiss the complaints in Docket Nos. 16-01, 16-07, 16-10 and 16-11 be granted, that the same be dismissed with prejudice, and that such other and further relief consistent with this prayer for relief be granted.

Respectfully submitted,

DATED: April 26, 2017

⁵⁰ See Transcript of Oral Argument, *Water Splash, Inc. v. Menon*, No. 16-254 (U.S. argued Mar. 22, 2017), available at https://www.supremecourt.gov/oral_arguments/argument_transcripts/2016/16-254_7lio.pdf.

Roberto A. Rivera-Soto
Jason A. Leckerman
BALLARD SPAHR LLP
210 Lake Drive East – Suite 200
Cherry Hill, New Jersey 08002-1163
Telephone: (856) 761-3400
riverasotor@ballardspahr.com
leckermanj@ballardspahr.com

Benjamin F. Holt
HOGAN LOVELLS US LLP
555 Thirteenth St., N.W.
Washington, D.C. 20004
Telephone: (202) 637-5600
benjamin.holt@hoganlovells.com

*Counsel for Respondents Wallenius
Wilhelmsen Logistics AS, Wallenius
Wilhelmsen Logistics America LLC, and
EUKOR Car Carriers, Inc.*

John R. Fornaciari
Danyll W. Foix
BAKER & HOSTETLER LLP
1050 Connecticut Ave., NW
Suite 1100
Washington, D.C. 20036
Telephone: 202-861-1612
jfornciari@bakerlaw.com
dfoix@bakerlaw.com

*Counsel for Respondents Nippon Yusen
Kabushiki Kaisha and NYK Line North
America Inc.*

James L. Cooper
Anne P. Davis
Adam M. Pergament
ARNOLD & PORTER KAY SCHOLER LLP
601 Massachusetts Avenue, N.W.
Washington, D.C. 20001

Mark W. Nelson
Jeremy J. Calsyn
James Hunsberger
**CLEARY GOTTlieb STEEN &
HAMILTON LLP**
2000 Pennsylvania Avenue, NW
Washington, D.C. 20006
Telephone: 202-974-1500
mnelson@cgsh.com
jcalsyn@cgsh.com
jhunsberger@cgsh.com

*Counsel for Respondents Kawasaki Kisen
Kaisha, Ltd. and "K" Line America, Inc.*

Jeffrey F. Lawrence
Wayne Rohde
COZEN O'CONNOR PC
1200 Nineteenth Street, NW
Washington, D.C. 20036
Telephone: 202-912-4800
jlawrence@cozen.com
wrohde@cozen.com

Melissa H. Maxman
COHEN & GRESSER LLP
2001 Pennsylvania Ave., N.W., Suite 300
Washington, DC 20006
Telephone: 202-851-2071
mmaxman@cohengresser.com

*Counsel for Respondents Höegh Autoliners
Holdings AS, Höegh Autoliners AS, Höegh
Autoliners, Inc., Autotrans AS, and Alliance
Navigation LLC*

Steven F. Cherry
Brian C. Smith
**WILMER, CUTLER, PICKERING,
HALE & DORR LLP**

Telephone: (202) 942-5000
james.cooper@apks.com
anne.davis@apks.com
adam.pergament@apks.com

Robert B. Yoshitomi
Eric C. Jeffrey
NIXON PEABODY LLP
799 9th Street, N.W.
Washington, DC 20001
Telephone: (202) 585-8000
Ryoshitomi@nixonpeabody.com
Ejeffrey@nixonpeabody.com

*Counsel for Respondents Mitsui O.S.K. Lines,
Ltd., Mitsui O.S.K. Bulk Shipping (U.S.A.),
LLC, World Logistics Service (U.S.A.) Inc.,
and Nissan Motor Car Carrier Co., Ltd.*

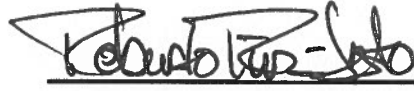
1875 Pennsylvania Avenue, NW
Washington, D.C. 20006
Telephone: (202) 663-6000
Steven.Cherry@wilmerhale.com
Brian.Smith@wilmerhale.com

*Counsel for Respondents Compañía Sud
Americana de Vapores, S.A. and CSAV
Agency, LLC*

V. CERTIFICATE OF SERVICE.

I hereby certify that, on April 26, 2017, true and correct copies of the foregoing consolidated motion to dismiss, and brief and appendix in support, were filed electronically with the Secretary of the Federal Maritime Commission, and electronic copies thereof were sent to all lead/liaison counsel for Complainants identified in the Commission's March 16, 2017 order.

DATED: April 26, 2017



Roberto A. Rivera-Soto